
MOODY'S



Investor Presentation

1Q 2017

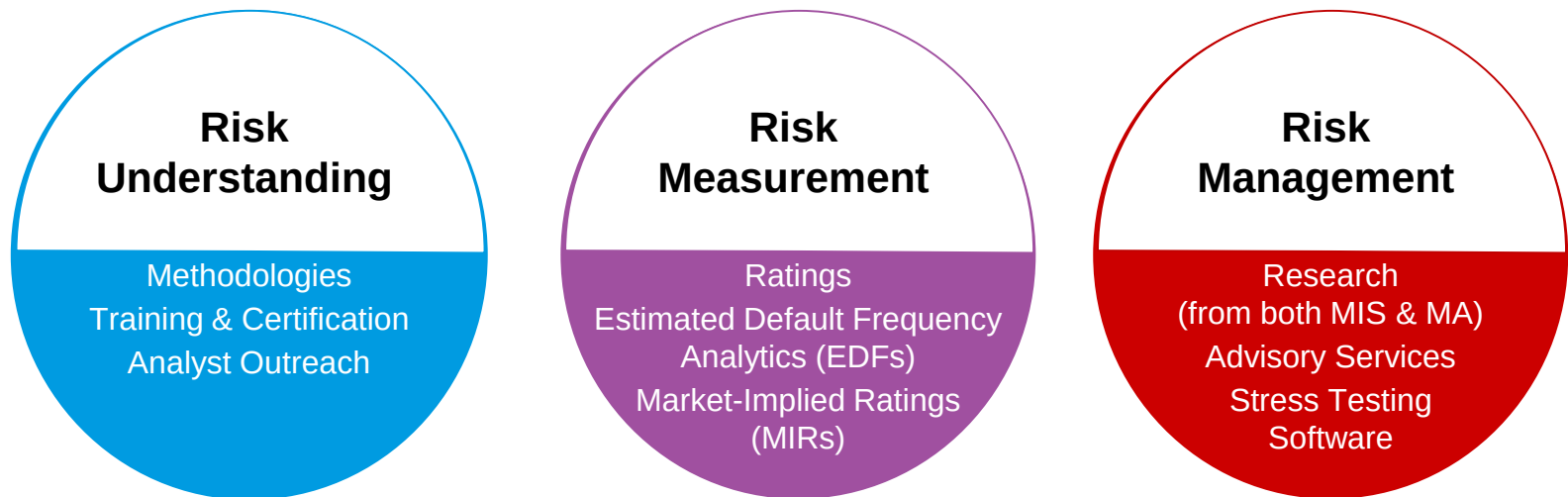
Disclaimer

Certain statements contained in this presentation are forward-looking statements and are based on future expectations, plans and prospects for Moody's business and operations that involve a number of risks and uncertainties. The forward-looking statements in this presentation are made as of the date hereof, and the Company disclaims any duty to supplement, update or revise such statements on a going-forward basis, whether as a result of subsequent developments, changed expectations or otherwise. In connection with the "safe harbor" provisions of the Private Securities Litigation Reform Act of 1995, the Company is identifying certain factors that could cause actual results to differ, perhaps materially, from those indicated by these forward-looking statements. Those factors, risks and uncertainties include, but are not limited to, world-wide credit market disruptions or an economic slowdown, which could affect the volume of debt and other securities issued in domestic and/or global capital markets; other matters that could affect the volume of debt and other securities issued in domestic and/or global capital markets, including regulation, credit quality concerns, changes in interest rates and other volatility in the financial markets such as that due to the U.K.'s referendum vote whereby the U.K. citizens voted to withdraw from the EU; the level of merger and acquisition activity in the U.S. and abroad; the uncertain effectiveness and possible collateral consequences of U.S. and foreign government actions affecting world-wide credit markets, international trade and economic policy; concerns in the marketplace affecting our credibility or otherwise affecting market perceptions of the integrity or utility of independent credit agency ratings; the introduction of competing products or technologies by other companies; pricing pressure from competitors and/or customers; the level of success of new product development and global expansion; the impact of regulation as an NRSRO, the potential for new U.S., state and local legislation and regulations, including provisions in the Financial Reform Act and regulations resulting from that Act; the potential for increased competition and regulation in the EU and other foreign jurisdictions; exposure to litigation related to our rating opinions, as well as any other litigation, government and regulatory proceedings, investigations and inquiries to which the Company may be subject from time to time; provisions in the Financial Reform Act legislation modifying the pleading standards, and EU regulations modifying the liability standards, applicable to credit rating agencies in a manner adverse to credit rating agencies; provisions of EU regulations imposing additional procedural and substantive requirements on the pricing of services; the possible loss of key employees; failures or malfunctions of our operations and infrastructure; any vulnerabilities to cyber threats or other cybersecurity concerns; the outcome of any review by controlling tax authorities of the Company's global tax planning initiatives; exposure to potential criminal sanctions or civil remedies if the Company fails to comply with foreign and U.S. laws and regulations that are applicable in the jurisdictions in which the Company operates, including sanctions laws, anti-corruption laws, and local laws prohibiting corrupt payments to government officials; the impact of mergers, acquisitions or other business combinations and the ability of the Company to successfully integrate acquired businesses; currency and foreign exchange volatility; the level of future cash flows; the levels of capital investments; and a decline in the demand for credit risk management tools by financial institutions. These factors, risks and uncertainties as well as other risks and uncertainties that could cause Moody's actual results to differ materially from those contemplated, expressed, projected, anticipated or implied in the forward-looking statements are described in greater detail under "Risk Factors" in Part I, Item 1A of the Company's annual report on Form 10-K for the year ended December 31, 2016, and in other filings made by the Company from time to time with the SEC or in materials incorporated herein or therein. Stockholders and investors are cautioned that the occurrence of any of these factors, risks and uncertainties may cause the Company's actual results to differ materially from those contemplated, expressed, projected, anticipated or implied in the forward-looking statements, which could have a material and adverse effect on the Company's business, results of operations and financial condition. New factors may emerge from time to time, and it is not possible for the Company to predict new factors, nor can the Company assess the potential effect of any new factors on it.

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Moody's Mission: To be the World's Most Respected Authority Serving Risk-Sensitive Financial Markets



Moody's is an essential component of the global capital markets, providing credit ratings, research, tools and analysis that contribute to open and integrated financial markets.

1

Financial Overview

Overview of Moody's Corporation¹

MOODY'S

- » Leading global provider of credit rating opinions, insight and tools for financial risk measurement and management
- » TTM 1Q17 revenue of \$3.8 billion; adjusted operating income² of \$1.8 billion

MOODY'S
INVESTORS SERVICE

- » 67% of total MCO revenue
- » 84% of total MCO adjusted operating income²

 Independent provider of credit rating opinions and related information for over 100 years

 MIS provides ratings in more than 120 countries³

 Ratings relationships with ~11,000 corporate issuers, ~18,000 public finance issuers and has rated and currently monitors ~64,000 structured finance obligations³

MOODY'S
ANALYTICS

- » 33% of total MCO revenue
- » 16% of total MCO adjusted operating income²

 Research, data and software for financial risk analysis and related professional services

 Customers in 145 countries³

 4,600 institutional customers; business with 86 of top 100 global banks³

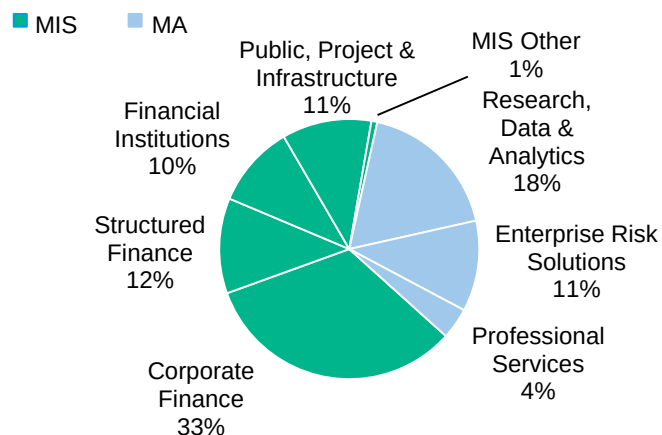
1 All financial data is for the trailing twelve months ended March 31, 2017.

2 Adjusted operating income is a Non-GAAP measure. See appendix for reconciliation from adjusted financial measures to GAAP.

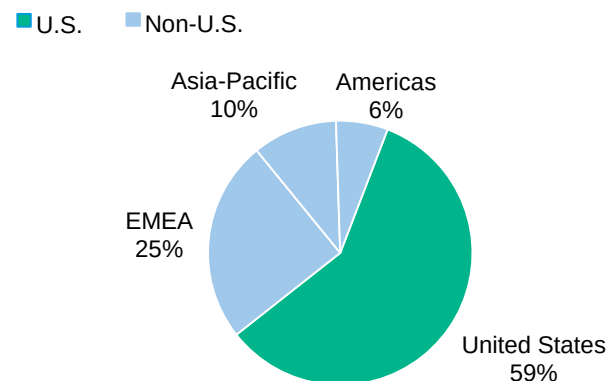
3 As of December 31, 2016.

Revenue is Diversified by Business, Geography and Type

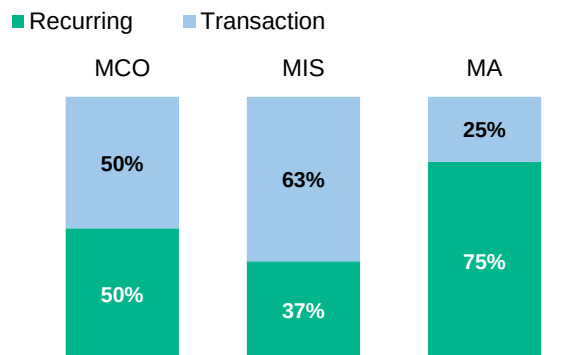
TTM 1Q17 Revenue by Business



TTM 1Q17 Revenue by Geography



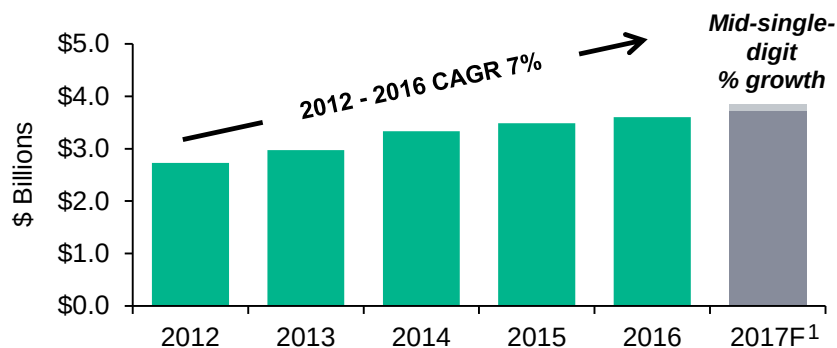
TTM 1Q17 Revenue by Type



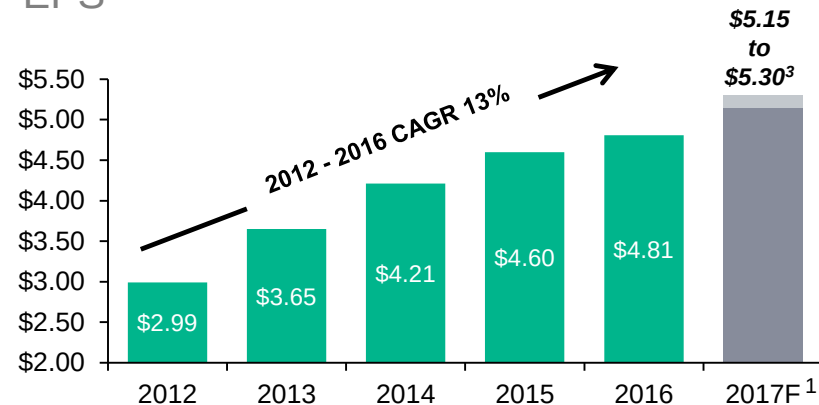
Note: All financial data is for the trailing twelve months ended March 31, 2017.

Financial Performance

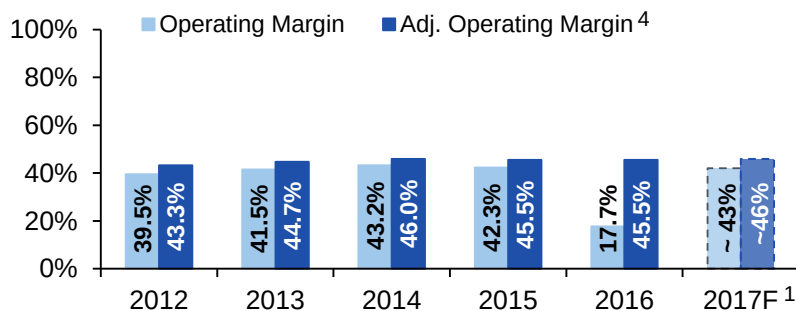
Revenue



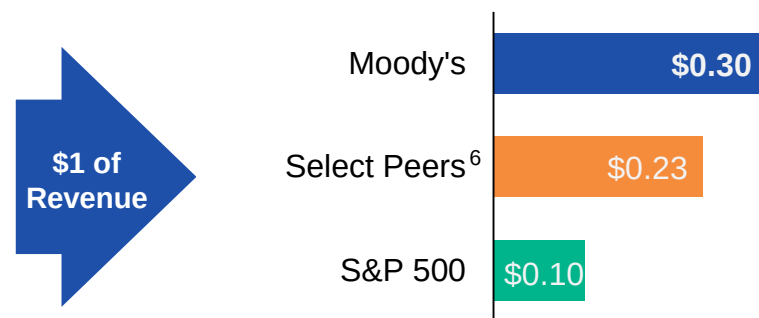
EPS²



Operating Margin



5-year Average Free Cash Flow Conversion⁵



¹ Guidance as of May 5, 2017.

² Represents adjusted EPS. See appendix for reconciliation from adjusted EPS to GAAP EPS.

³ Expect to be toward the upper end of the range. Excludes \$0.31 CCXI gain.

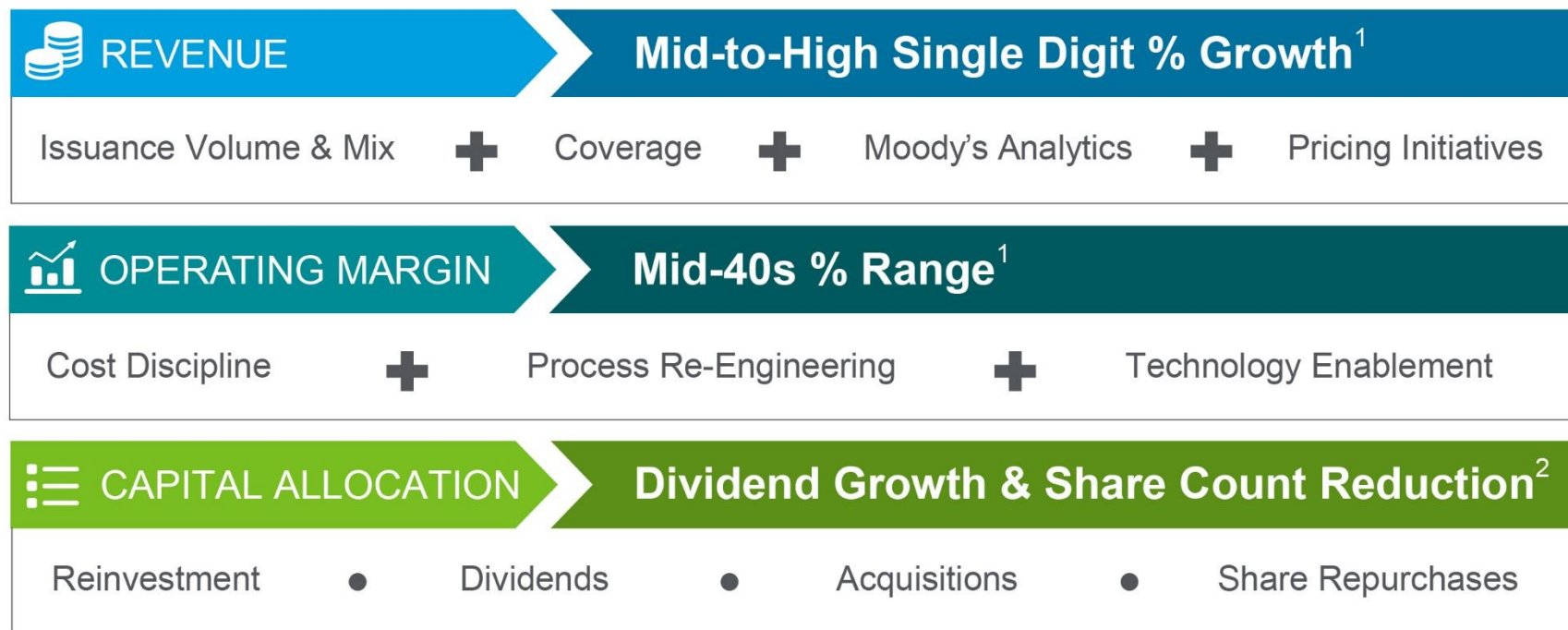
⁴ Adjusted Operating Margin is a Non-GAAP measure. See appendix for reconciliation from adjusted financial measures to GAAP.

⁵ As of May 2017, over last five available fiscal years. Free Cash Flow is a Non-GAAP financial measure. Source: FactSet.

⁶ Includes: CLGX, DNB, EXPN, FDS, INFO, MORN, MSCI, SPGI, TRI and VRSK.

Long-Term Growth Opportunities

Three Levers to Achieve EPS Growth



EPS

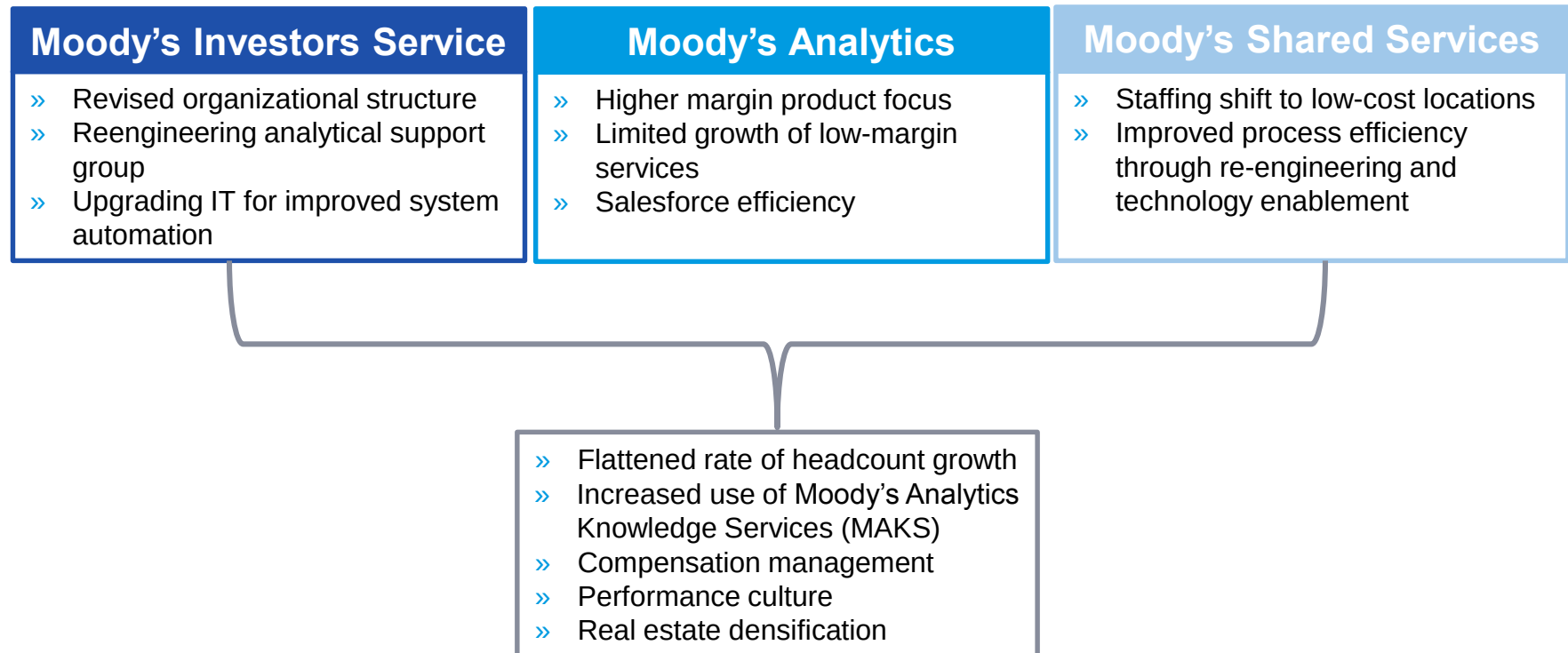
High Single Digit to Low Double Digit % Growth^{1, 2}

Note: Revenue and EPS long-term growth opportunities are on average over time.

1 Assumes no material change in effective tax rate, foreign exchange rates, leverage profile and/or capital allocation policy.

2 Subject to market conditions and other ongoing capital allocation decisions.

All Areas of the Company Undertaking Actions to Actively Manage Expense Growth



Expense and best practice initiatives to drive MCO operating margin to the mid-40s % range over the next several years

Moody's has a Disciplined Approach to Capital Allocation

Investing in Growth Opportunities

Reinvestment

- » Invest in existing businesses to support organic growth
- » FY 2017 capex guidance: ~\$100 million¹

Acquisitions

- » Aligned with strategy
- » Opportunistic; ideally able to use offshore cash

Return of Capital

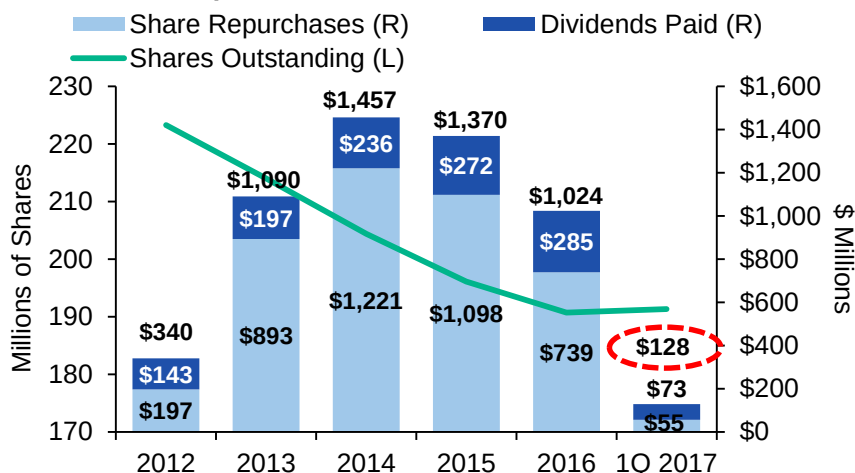
Dividends

- » Payout ratio potential is 25% - 30% of net income at current leverage²
- » TTM 1Q 2017 payout ratio was ~30%³

Share Repurchases

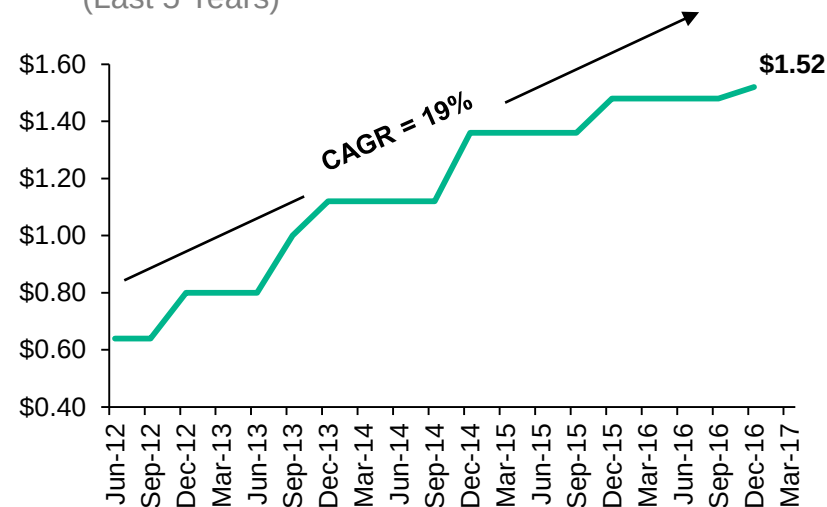
- » FY 2017 share repurchase guidance: ~\$500 million⁴
- » Average annualized net share count reduction of ~4% from 2012 to 1Q 2017
- » 1Q 2017 average repurchase price of \$112.24

Share Repurchases and Dividends Paid



Annualized Dividend Per Share

(Last 5 Years)



1 Guidance as of May 5, 2017.

2 Assumes continued balance of return of capital between dividends and share repurchase subject to available cash, market conditions and other ongoing capital allocation decisions.

3 Dividend payout ratio is defined as TTM 1Q 2017 dividend paid/adjusted net income.

4 Guidance as of May 5, 2017 (subject to available cash, market conditions and other ongoing capital allocation decisions).

Full Year 2017 Guidance as of May 5, 2017

» Revenue:	Increase in the mid-single-digit % range
» Operating Expense:	Decrease in the 25% - 30% range
» Adjusted Operating Expense¹:	Increase in the mid-single-digit % range
» Operating Margin:	Approximately 43%
» Adjusted Operating Margin¹:	Approximately 46%
» Effective Tax Rate:	Approximately 30%
» Earnings Per Share²	\$5.46 - \$5.61
» Adjusted Earnings Per Share^{1,2,3}:	\$5.15 - \$5.30
» Share Repurchases:	Approximately \$500 million (subject to available cash, market conditions and other ongoing capital allocation decisions)
» Capital Expenditures:	Approximately \$100 million
» Depreciation & Amortization:	Approximately \$135 million
» Operating Cash Flow:	Approximately \$600 million
» Free Cash Flow^{1,4}:	Approximately \$500 million

1 These metrics are adjusted measures. See Appendix for a reconciliation of these measures to their comparable GAAP measure.

2 Expect to be toward the upper end of the range.

3 Excludes \$0.31 CCXI gain.

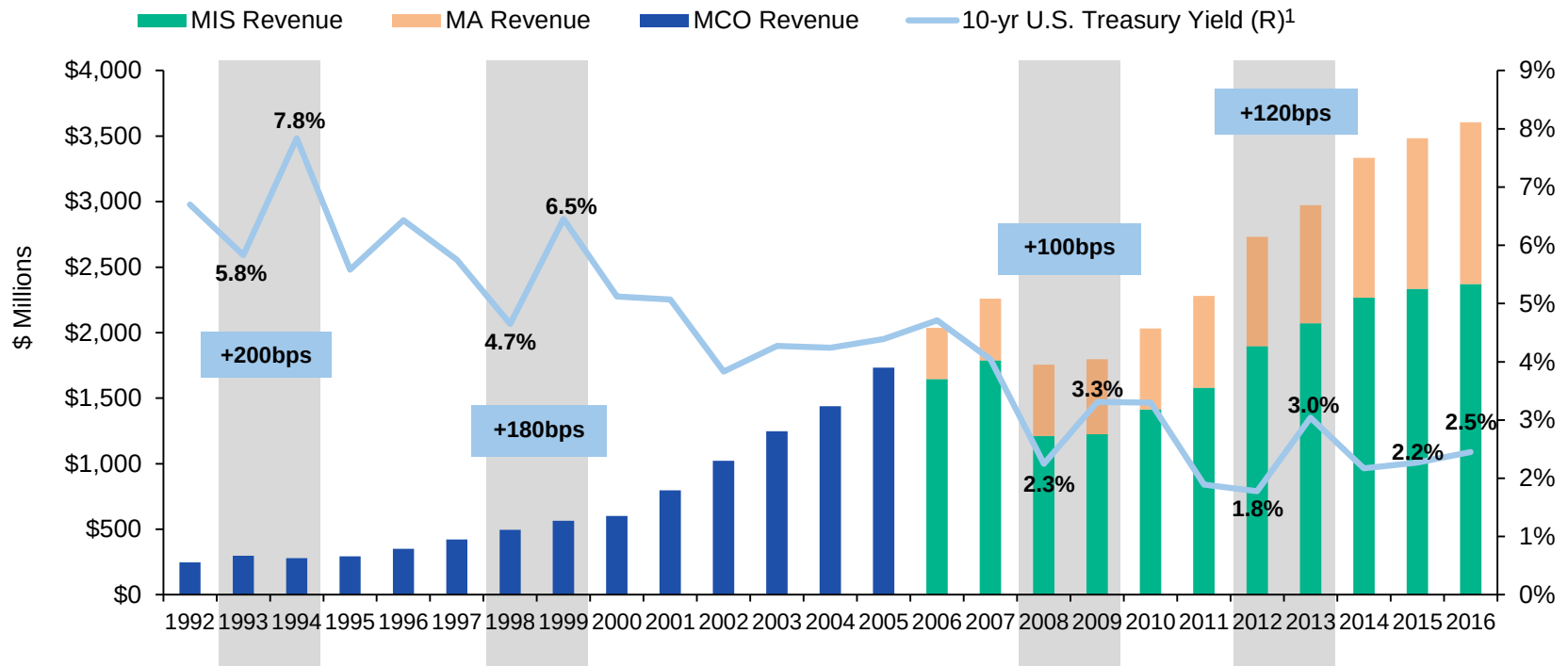
4 Includes payment of the settlement charge related to an agreement with the U.S. Department of Justice and the attorneys general of 21 U.S. states and the District of Columbia.

2

Capital Markets Overview

Historically, Rising Rates Have not had a Significant Impact on Moody's Revenue

MCO Revenue and Interest Rates



» Despite the December 2016 and March 2017 Fed rate hikes, the 10-year U.S. Treasury yield eased from mid-December's 2.6% to ~2.4%²

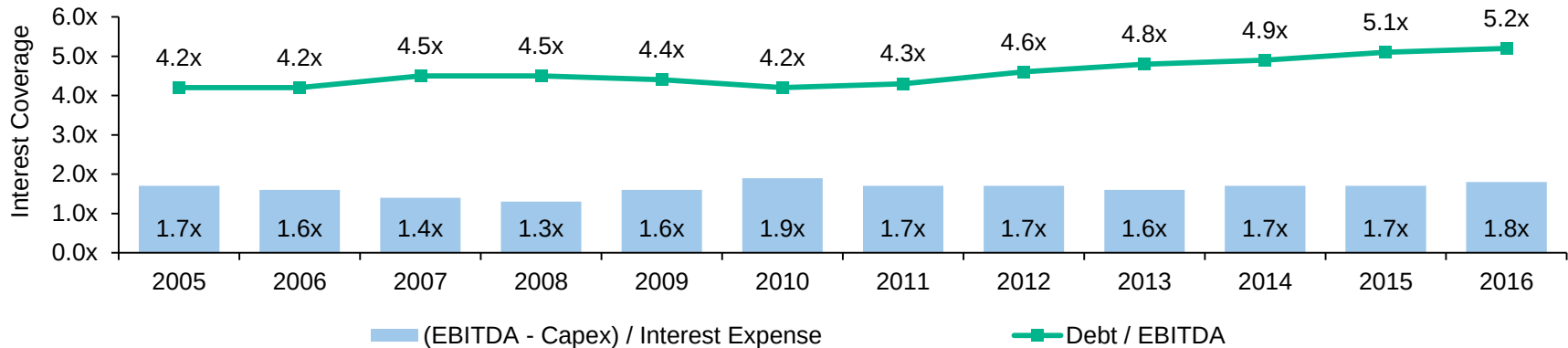
¹ 10-yr U.S. Treasury Yields are represented by the rate at the end-of-period.

² 10-yr U.S. Treasury Yields are represented by the rate as of May 9, 2017.

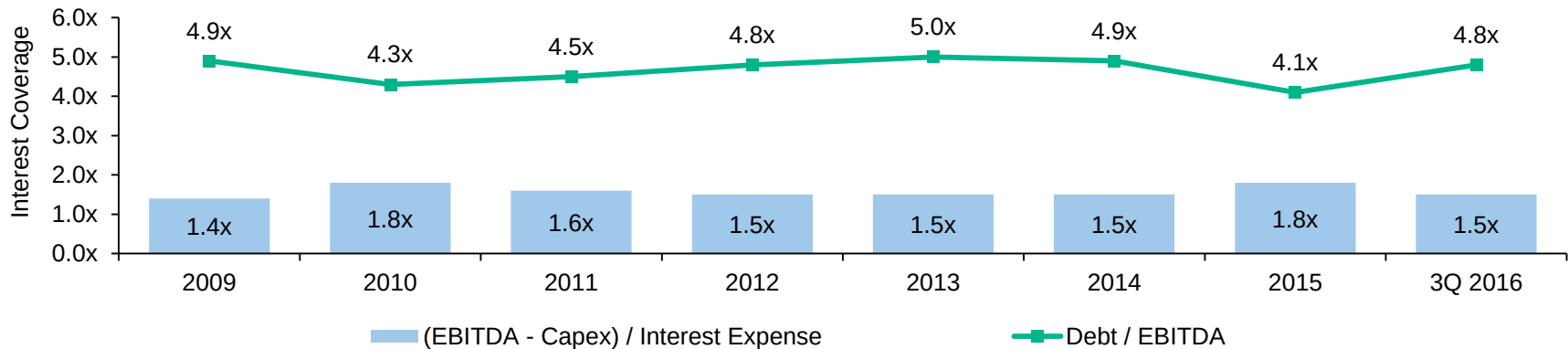
Source: www.treasury.gov.

Debt Leverage up in North America and Europe; Interest Coverage Remains Reasonable

Credit Metrics: North American Speculative Grade Companies



Credit Metrics: European Speculative Grade Companies



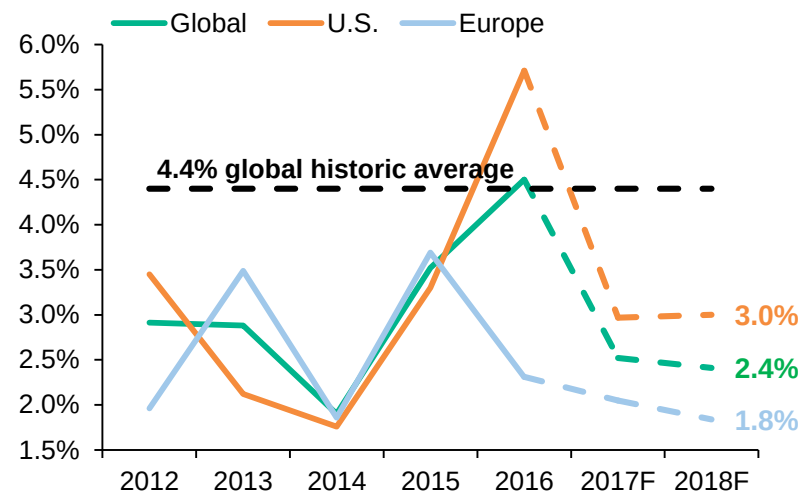
Source: Moody's Investors Service.

Global Default Rates Remain Under Historic Average

Corporate Default Rate Forecast by Industry¹

Industry Group (Top 10 Highest Default Forecasts)	U.S.	Europe
Retail	4.5%	4.0%
Media: Advertising, Printing & Publishing	4.4%	1.7%
Metals & Mining	3.7%	1.7%
Consumer goods: durable ²	3.6%	
Transportation: Cargo	3.5%	2.8%
Services: Business	3.5%	2.2%
Environmental Industries ²	3.5%	
Energy: Oil & Gas	3.3%	2.9%
Wholesale ²	3.2%	
Energy: Electricity ²	3.1%	

Default Rates for Corporate Rated Issuance³



- » Global speculative-grade default rate at 3.8% as of March 31, 2017; expected to decline to 2.4% by March 2018, helped by fewer commodity defaults.

¹ Illustrates top 10 industries with highest forecasted one-year default rates.

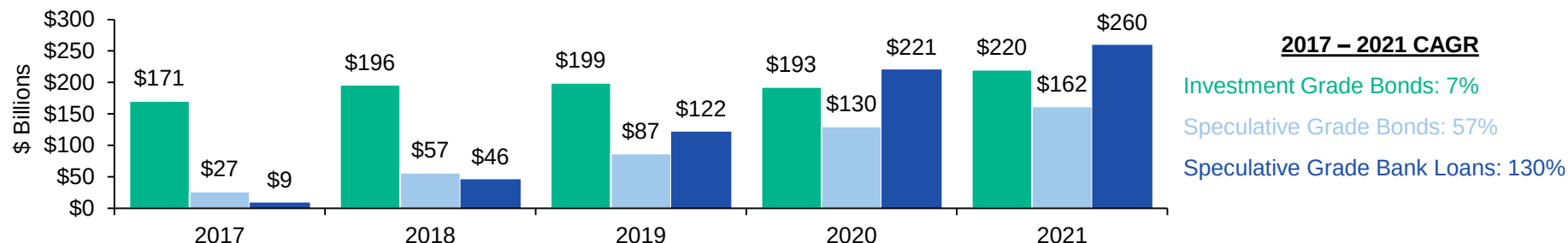
² Default rate forecasts are not reported in these sectors in Europe due to small sample size (fewer than ten issuers).

³ Moody's rated corporate global speculative grade default historical average of 4.4% since 1983. 2018 forecast for trailing twelve months ended March 31, 2018.

Source: Moody's Investors Service.

North America and EMEA Non-Financial Corporates Have Over \$3.3 Trillion of Refunding Needs¹

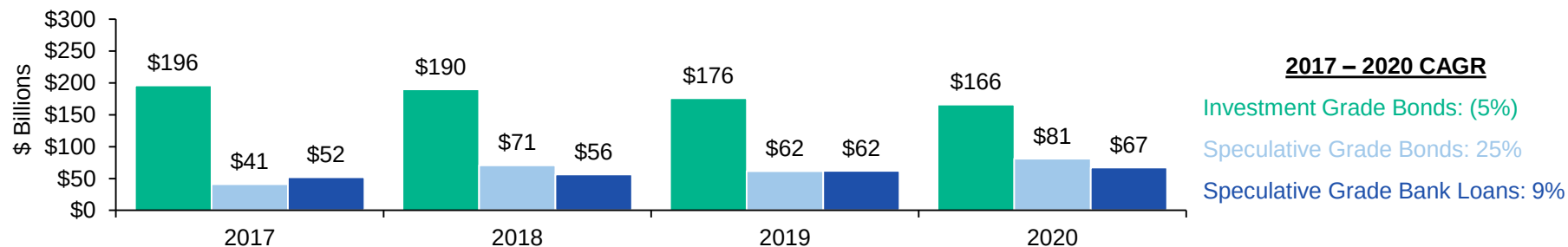
Debt Maturities: North America Moody's-Rated Corporate Bonds and Loans



Source: MIS, February 2017.

Note: Data represents U.S. & Canadian MIS rated corporate bonds & loans.

Debt Maturities: EMEA Moody's-Rated Corporate Bonds and Loans



Source: MIS, July 2016.

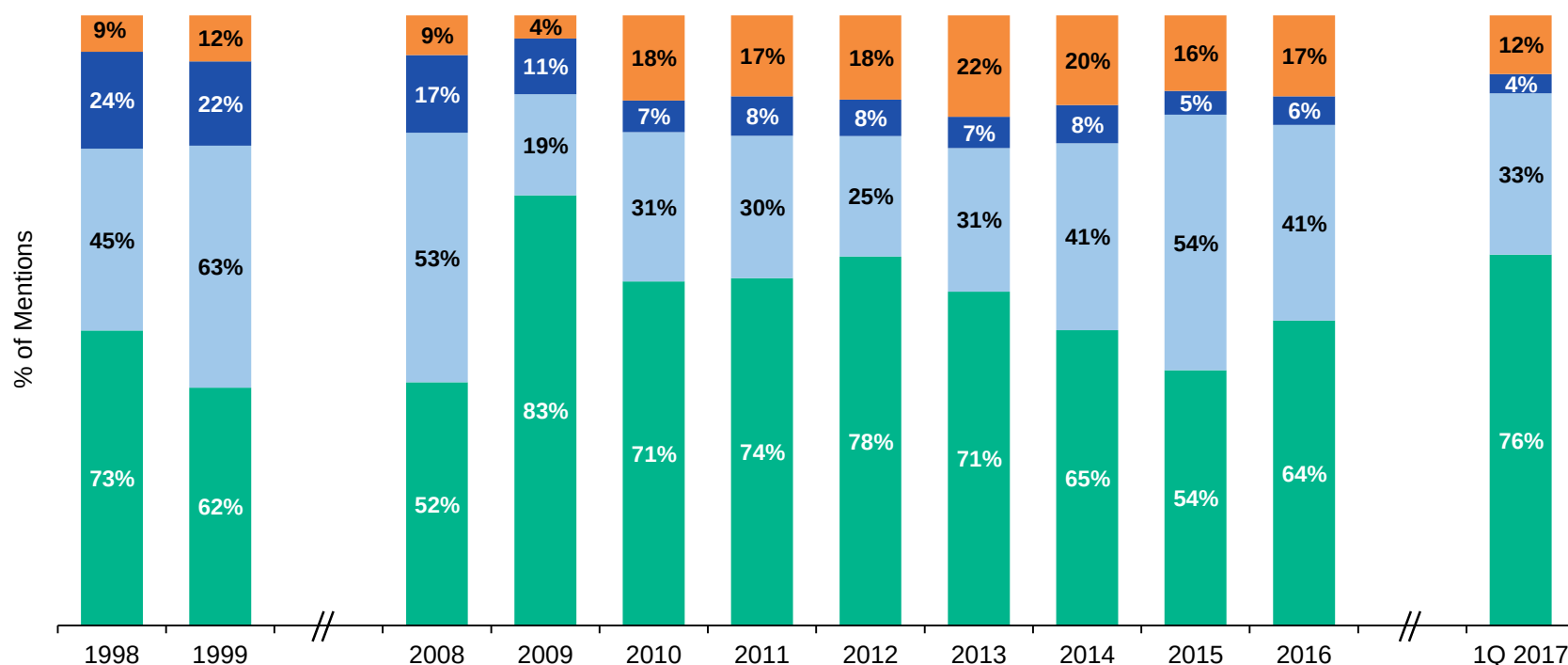
Investment Grade Bonds Speculative Grade Bonds Speculative Grade Bank Loans

¹ Amount reflects total maturities identified in the above sources.

Debt Refinancing and M&A are Most Frequently Stated Uses of Proceeds

Uses of Funds from USD High Yield Bonds and Bank Loans¹

■ Debt Refinancing ■ M&A ■ Capital Spending ■ Shareholder Payments

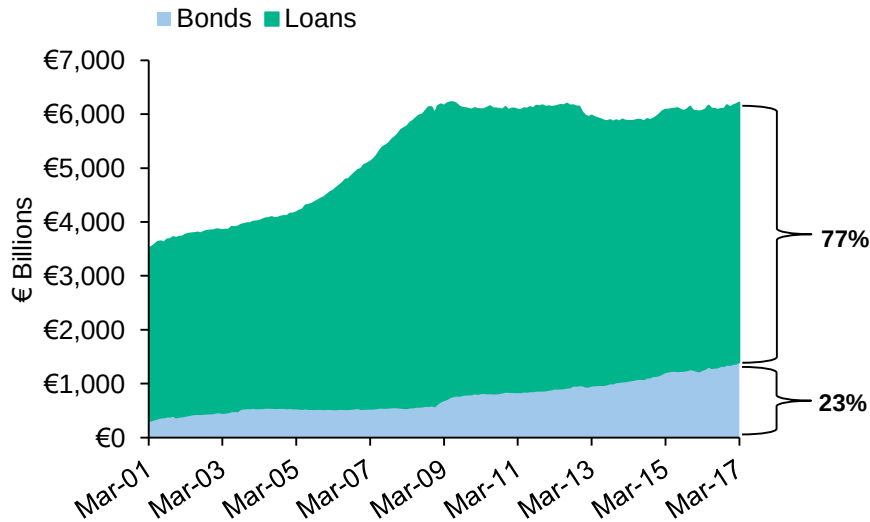


¹ Percent of mentions for each respective period in bond issue or bank loan program tranche documents. Excludes issues of less than \$25 million and general corporate purposes. An issue can have multiple purposes and, as a result, percentages do not sum to 100%.

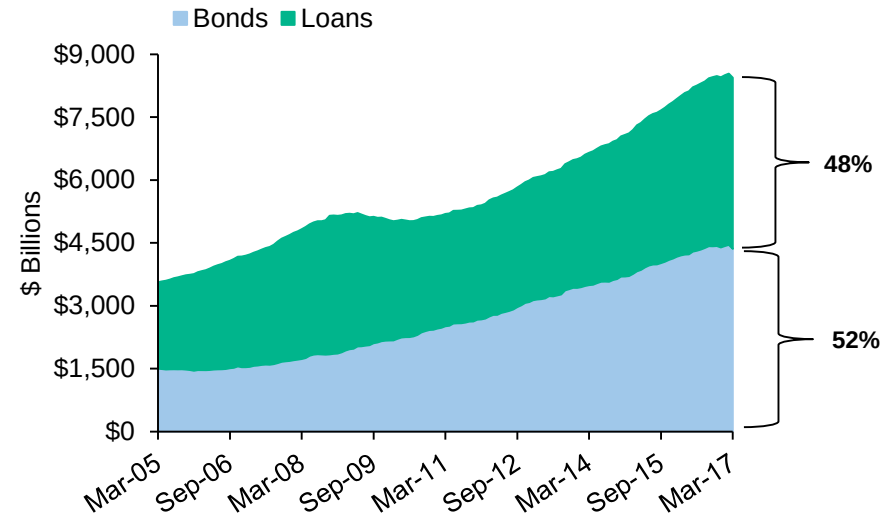
Source: Moody's Capital Markets Research Group (CMRG).

Disintermediation of Credit is an Ongoing Trend in the Global Capital Markets

European Non-Financial Corporate Bonds vs. Bank Loans Outstanding



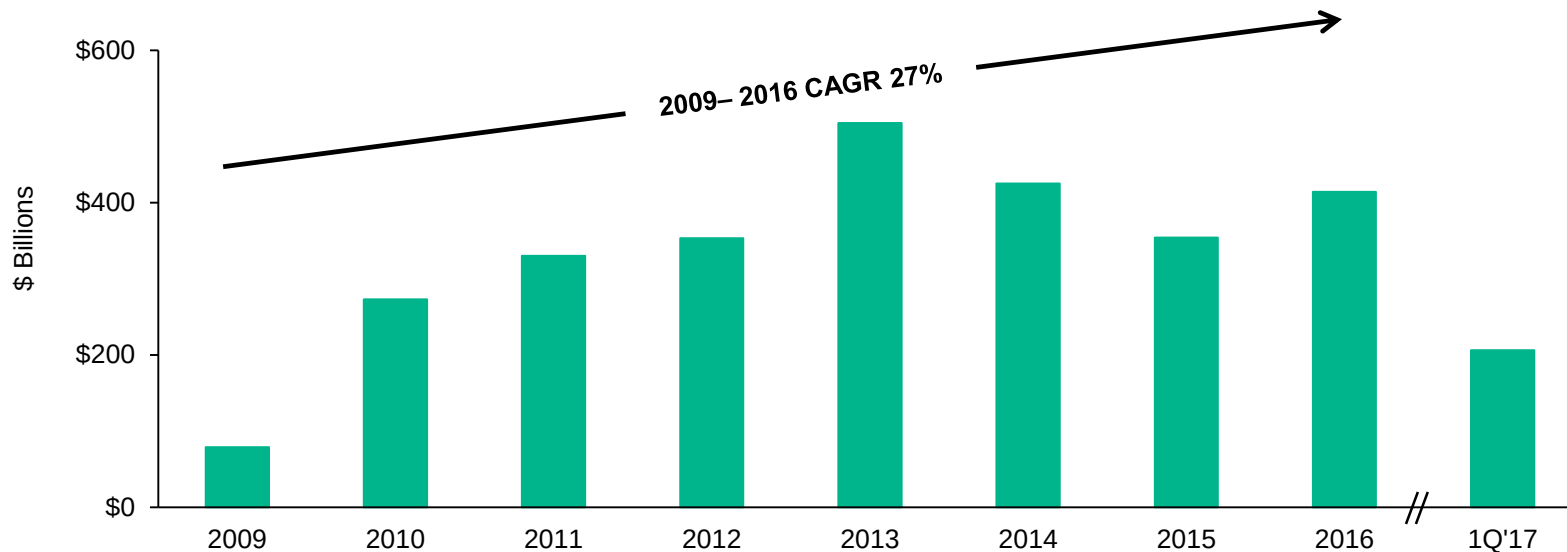
U.S. Non-Financial Corporate Bonds vs. Bank Loans Outstanding



Sources: ECB, Federal Reserve, BarCap Indices. Europe bank loan data includes Eurozone and UK bank loans. Europe bond data includes euro and sterling denominated bonds. European and U.S. data is through March 2017.

Rising Rates are Supporting Leveraged Loan Activity

Moody's Rated U.S. Corporate Speculative-Grade Bank Loans¹

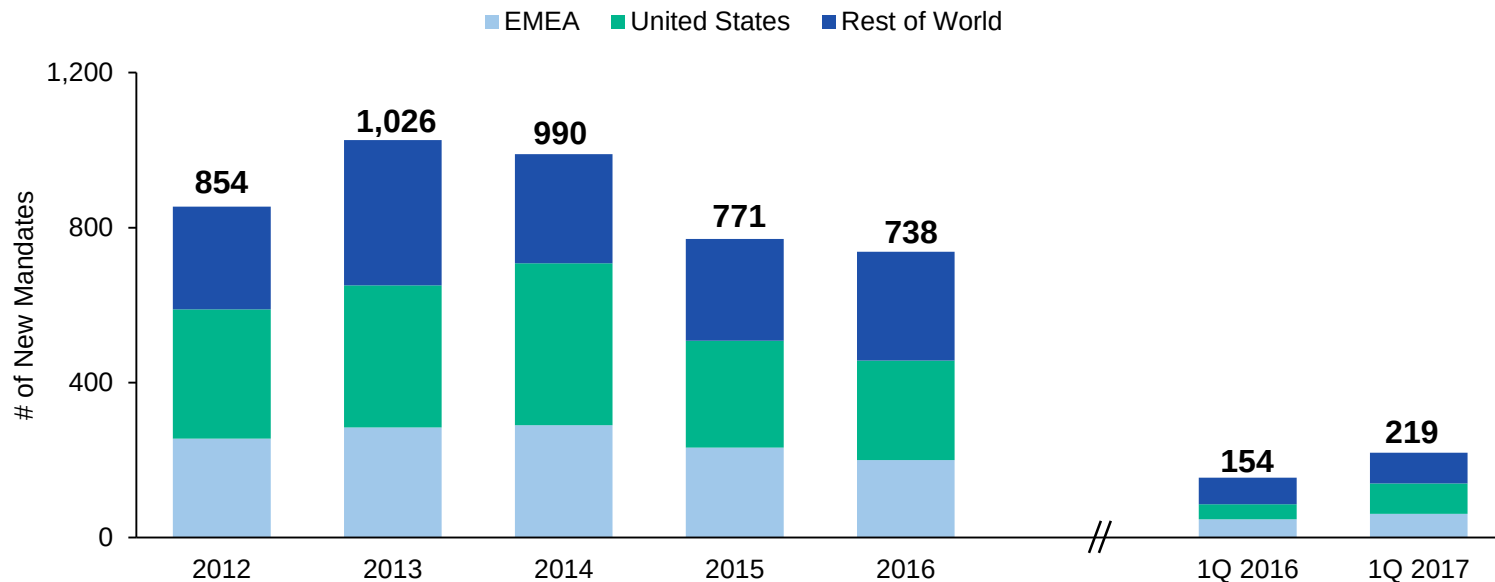


- » FY 2016 speculative-grade bank loan issuance in the U.S. totaled ~\$400 billion vs. ~\$100 billion in Europe
- » Record activity in 1Q 2017 as issuers took advantage of the highly favorable market backdrop to refinance and extend outstanding bank loan debt on issuer-friendly terms

¹ U.S. Speculative-Grade Bank Loan represents Moody's rated new bank loan programs.
Sources: Moody's Capital Markets Research Group, Dealogic

Disintermediation is a Key Driver of Moody's Global New Rating Mandates

Global New Rating Mandates¹



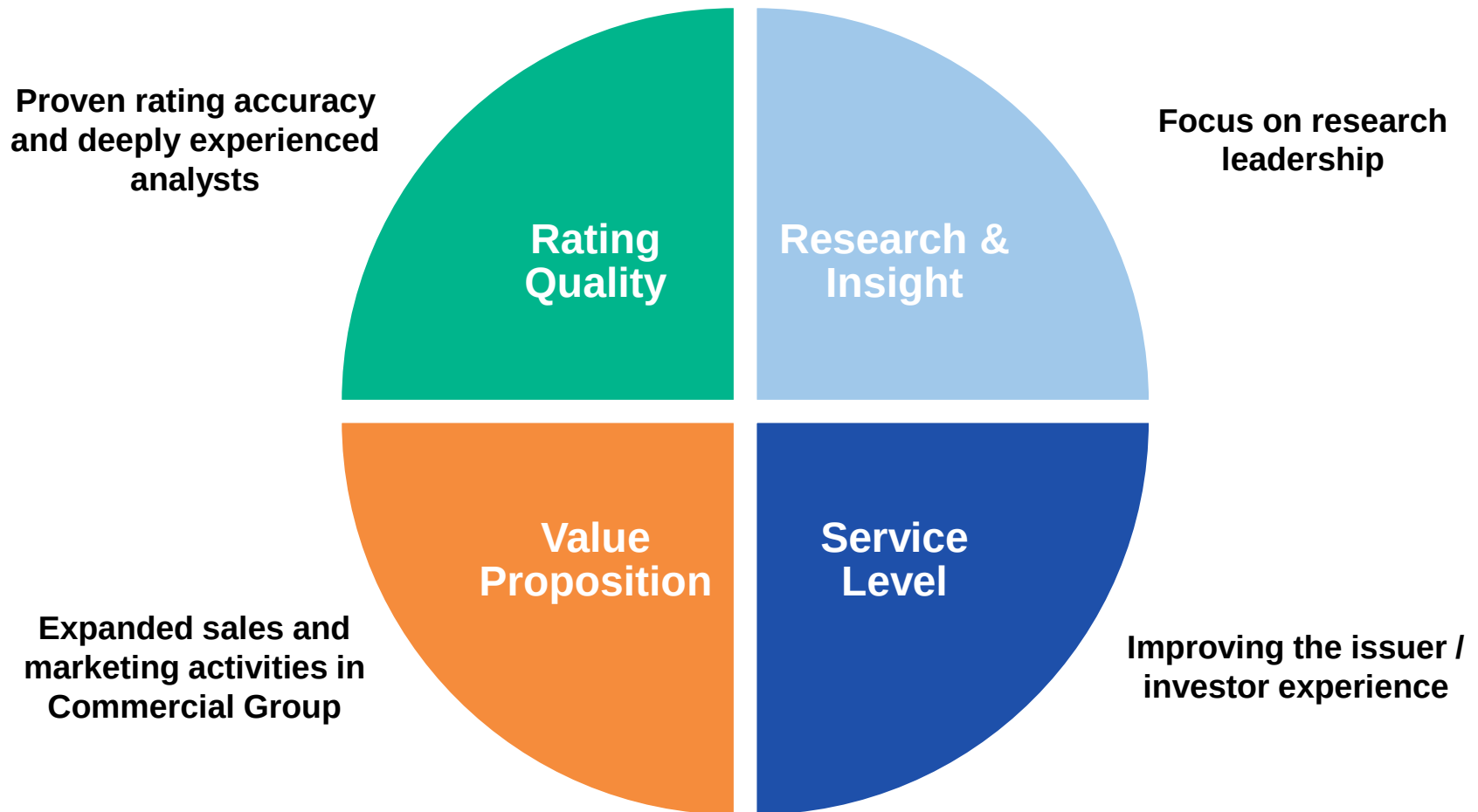
» In 1Q 2017, Moody's new rating mandates increased to 219, up 24% from 177 in 4Q 2016 and up 42% from 154 in 1Q 2016

¹ Rated by Moody's Investors Service.
Source: Moody's Investors Service.

3

Moody's Investors Service

Moody's Investors Service: A Leading Provider of Credit Ratings, Research and Risk Analysis



Illustrative Value of a Moody's Rating

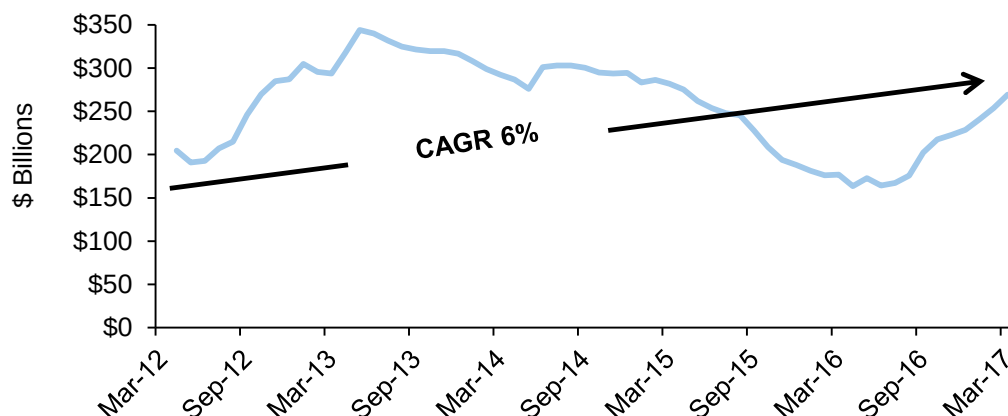
Example: 10 year \$500 million corporate bond

<u>Unrated</u>		<u>Rated by Moody's</u>
\$500,000,000	Bond	\$500,000,000
x 4.3%	Interest rate	x 4.0%
= \$21,500,000	Annual interest payments	= \$20,000,000
x 10 years	Tenor	x 10 years
= \$215,000,000	Lifetime interest expense	= \$200,000,000
\$15 million in total interest expense vs. lifetime cost of a rating		

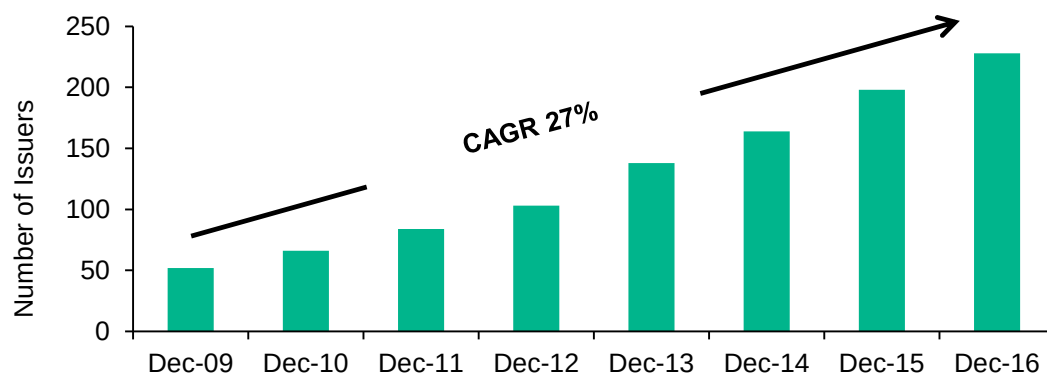
Note: Illustrative spread differential based on feedback from syndicate desks and FBR & Co. research on Moody's Corporation (January 2014) which stated that obtaining a Moody's rating typically saves approximately 30 basis points per year for investment grade issuers. Many factors go into the pricing of a bond.

Moody's Continues to Invest in Key International Markets

Emerging Markets Rated Corporate Bond Issuance¹



Moody's-Rated Chinese Issuers²



¹ Moving 12 month sum; includes rated investment grade and high yield corporate bond issuance (financial and non-financial). Chart is through March 2017.

² Includes rated issuers where major operations or headquarters are in Mainland China. Hong Kong, Macau and Taiwan are not included.

Sources: Dealogic, Moody's Capital Markets Research Group, Moody's Investors Service.

Americas

- » **2015:** Acquired 100% of Equilibrium

EMEA

- » **2013:** Opened MIS Warsaw office
- » **2016:** Opened MIS Stockholm office
- » **2016:** Collaboration with Euler Hermes Rating

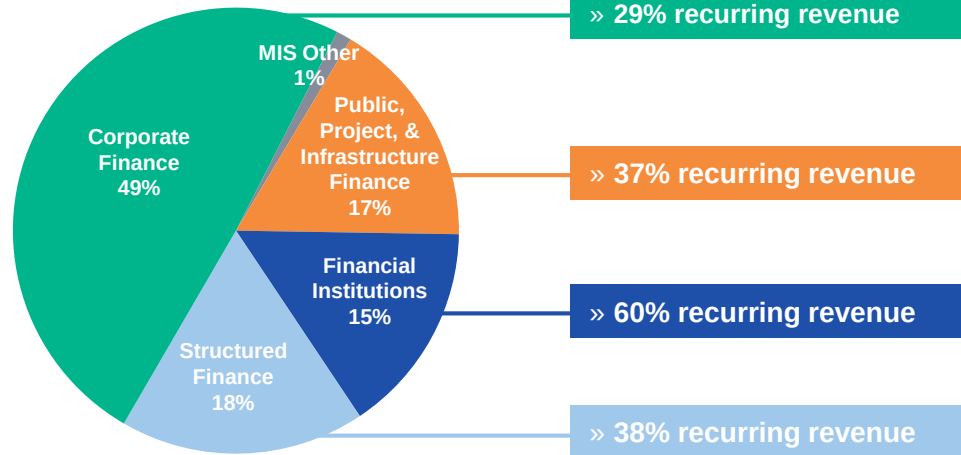
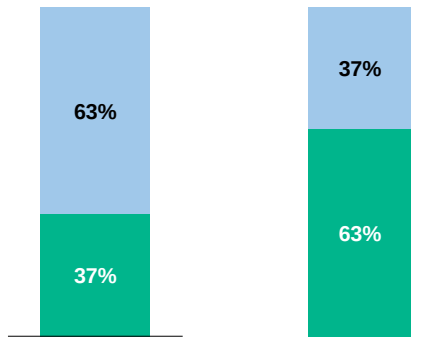
APAC

- » **2006:** Joint venture in China domestic market with CCXI
- » **2013:** Opened MIS Mumbai and Shanghai offices
- » **2015:** Acquired majority control of ICRA
- » **2016:** Increased stake in KIS to 100%
- » **2017:** Strategic realignment and expansion involving CCXI

Moody's Investors Service Financial Profile

TTM 1Q 2017 Revenue: \$2.5 billion

■ Recurring ■ Transaction ■ U.S. ■ Non-U.S.



2017 Revenue Guidance as of May 5, 2017

Global	↑	mid-single-digit % range
U.S.	↑	mid-single-digit % range
Non-U.S.	↑	mid-single-digit % range
Corporate Finance	↑	mid-single-digit % range
Structured Finance	↑	mid-single-digit % range
Financial Institutions	↑	mid-single-digit % range
Public, Project & Infrastructure Finance	↑	low-single-digit % range

Note: All financial data, except guidance, is for the trailing twelve months ended March 31, 2017.

4

Moody's Analytics

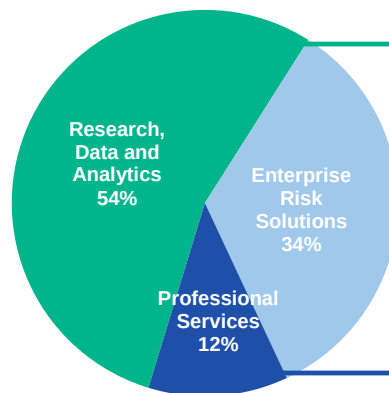
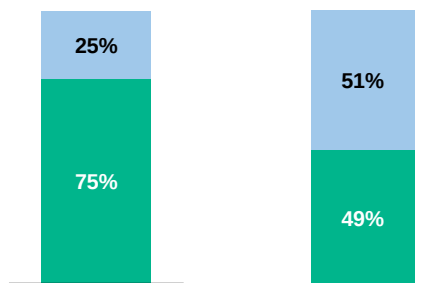
Moody's Analytics Provides Essential Insight Serving Global Financial Markets

 Research Data & Analytics	 Enterprise Risk Solutions	 Professional Services
» MIS research & data » MIS ratings feeds » Quantitative credit metrics (EDFs) » Economic research, data & models » Structured finance analytics & data	» Software solutions and risk management services that assist with: - Financial spreading - Risk scoring - Default modeling - Exposure aggregation & management - Portfolio analytics - Stress testing - Risk-Weighted Assets (RWA) calculation and reporting	» Outsourced research & consulting » Financial training & education - In-house training, seminars & on-line learning - Professional certification

Moody's Analytics Financial Profile

TTM 1Q 2017 Revenue: \$1.2 billion

■ Recurring ■ Transaction ■ U.S. ■ Non-U.S.



» > 95% recurring revenue
» 95% retention rate

» 67% recurring revenue

» Combination of one-off contracts and semi-recurring revenue

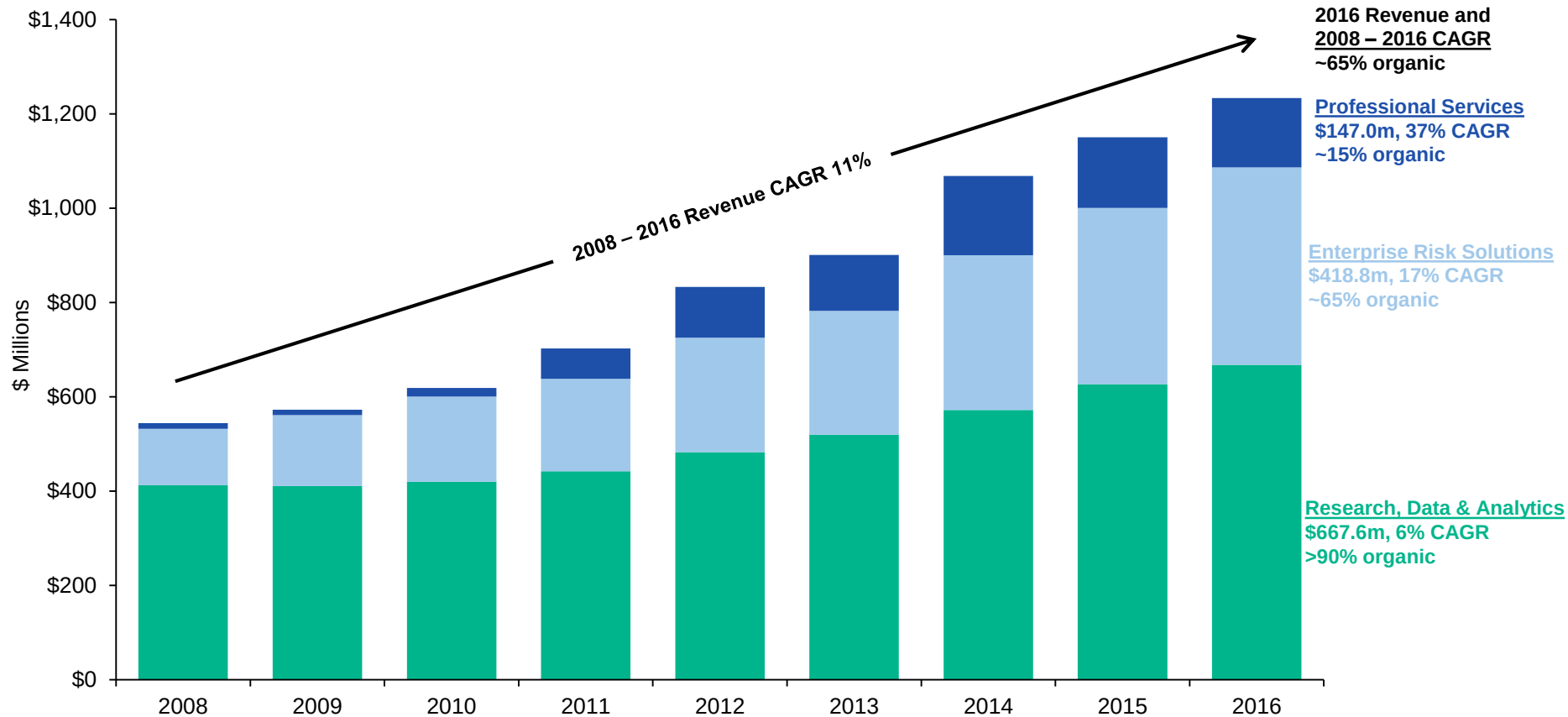
2017 Revenue Guidance as of May 5, 2017

Global	↑ mid-single-digit % range
U.S.	↑ low-single-digit % range
Non-U.S.	↑ high-single-digit % range
Research, Data & Analytics	↑ high-single-digit % range
Enterprise Risk Solutions	↑ mid-single-digit % range
Professional Services	↑ low-single-digit % range

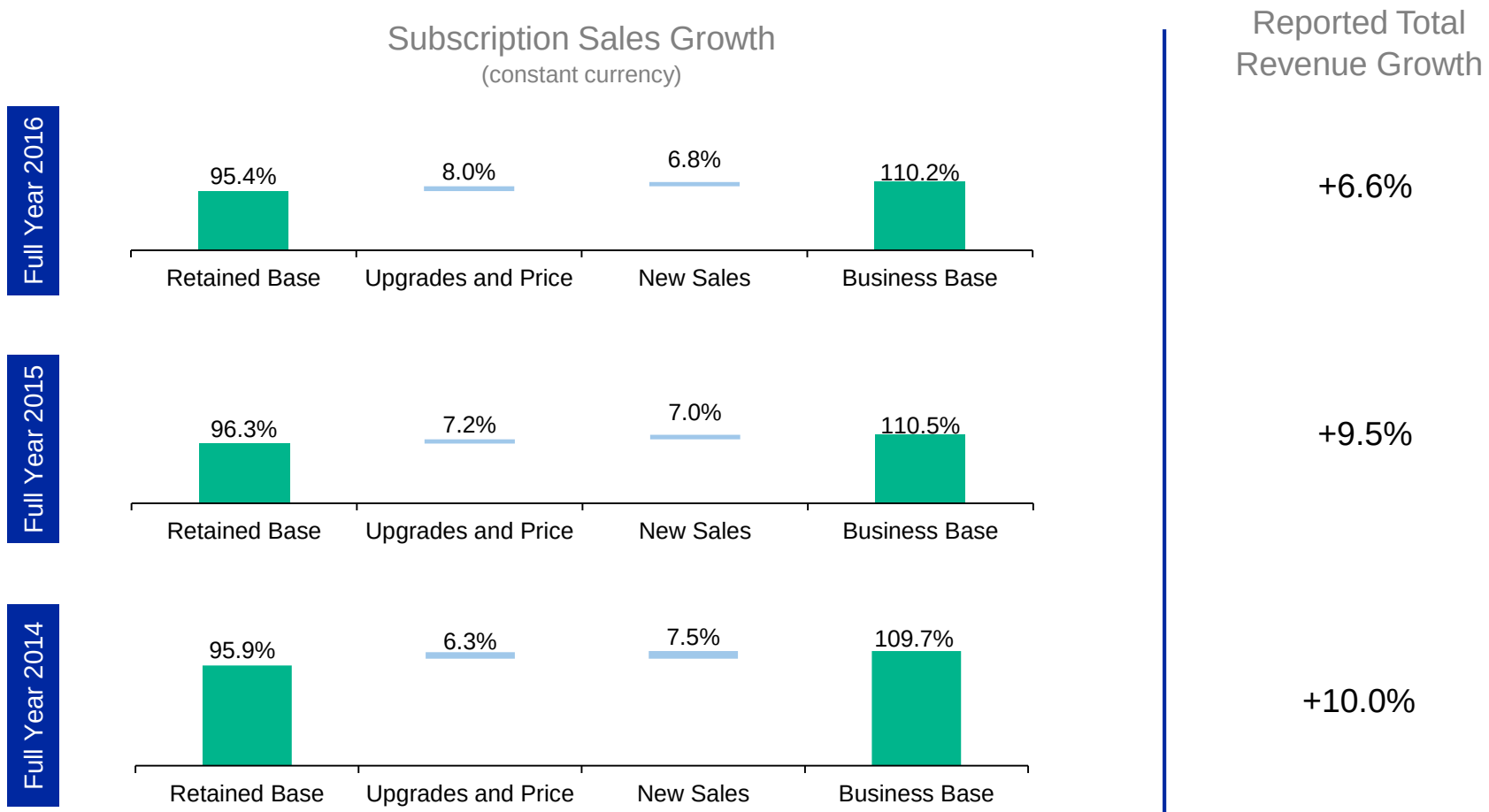
Note: All financial data, except guidance, is for the trailing twelve months ended March 31, 2017.

Moody's Analytics has Multiple Platforms for Growth

Added ~\$700 Million in Revenue in 9 Years



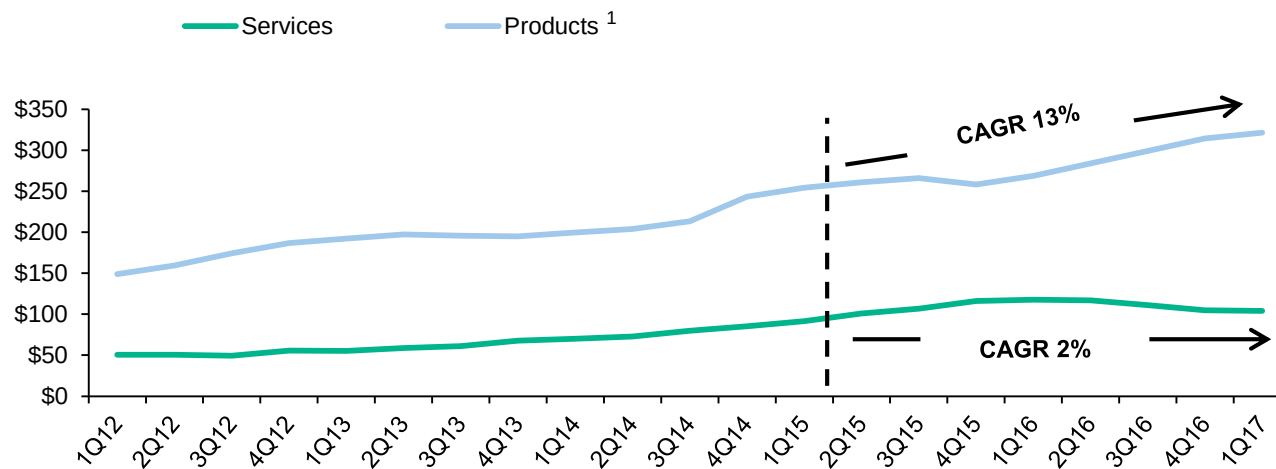
RD&A: Subscription Growth Driven by Retention, Upgrades and Pricing & New Sales



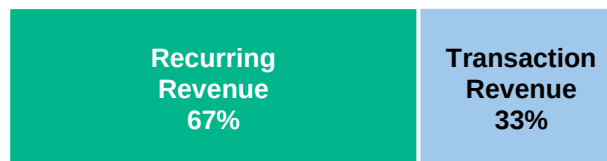
Note: The sales growth attributions presented on this slide are related to RD&A subscription sales on a constant currency basis. Upgrades reflect amendments to existing customer contracts. New Sales reflect new contracts with new and existing customers. Reported total revenue growth reflects total RD&A revenue.

ERS Continues to Focus on Product Sales and is De-emphasizing Lower Margin Services Sales

ERS: TTM Revenue



ERS: TTM Revenue by Type



¹ Products revenue include subscriptions, license and maintenance.

Professional Services: Extending the Brand Into New Markets and Deepening Customer Relationships

Knowledge process outsourcing	Certificates, designations and accreditations	Financial services training
» Leading provider of research, analytics and business intelligence services to global financial institutions » Bespoke front-office support with client-dedicated analyst teams for 150+ clients » More than 2,600 employees in offices in India, China, Sri Lanka and Costa Rica » 15 years of experience helping clients enhance profitability, increase operational flexibility and drive revenues	» Canada's leading provider of financial services education and designations » 270+ courses taken by 800,000+ financial professionals » Endorsed by the Investment Industry Regulatory Organization of Canada (IIROC), Canada's stock exchanges and Canada's securities regulatory commissions  Canadian Securities Institute Moody's Analytics Training & Certification Services	» Provider of global learning capabilities to banks, asset managers, regulators and non-bank financial institutions » Expansion into new markets: - India: Signed MOU with the National Institute of Securities Markets (NISM) to jointly offer certification programs - Africa: MA is fast becoming a recognized standard for credit training in the region

5

Conclusion

Why Invest in Moody's?

- » **We strive to be the world's most respected authority serving risk-sensitive financial markets**
- » **We have had strong revenue and earnings growth, as well as cash flow conversion**
 - 2012 – 2016 revenue CAGR of 7%
 - 2012 – 2016 adjusted EPS¹ CAGR of 13%
 - 2012 – 2016 free cash flow conversion rate of ~30%
- » **We are committed to returning capital to our shareholders**
 - 2012 – 2016 returned \$5.3 billion, or 110% of free cash flow, to shareholders via share repurchases and dividends
- » **We will selectively invest in strategic growth opportunities**
 - Leverage brand to extend our relevance in financial markets
 - Expand our product offerings and geographic influence

¹ See appendix for reconciliation of adjusted EPS to GAAP EPS.

Moody's Awards

Moody's is the proud recipient of over 20 awards from publications around the world. Spanning both Moody's Investors Service and Moody's Analytics, this recognition helps expand Moody's position as a leader in the global capital markets and reflects the hard work and contributions of all our employees.

Moody's Investors Service



Best Rating Agency:
2017



Multi-Award Winner,
Including Best Ratings
Agency: 2016-2017



#1 US Credit
Rating Agency:
2012-2016



Multiple-Award Winner,
Including Best Rating Agency
for Investment Grade
Corporate Bonds: 2016



Most Influential
Credit Rating Agency:
2013-2016



#1 Asia Credit
Rating Agency:
2012-2016



Australia's Rating
Agency of the Year:
2014-2016



Winner, 2012 Expectations
category (2- and 3-Year
Horizon)



Front-Line Customer
Service Team of the Year -
Financial Services Industries

Award for Innovation
in Customer Service -
Financial Services Industries



#1 Enterprise-Wide Stress Testing
#1 Risk Capital Calculation



Recognized as a Top
Solution Provider



Best Solvency II solution
and Best ESG solution



Best Enterprise Learning
Platform Implementation



Ranked #5 out of 100
Enterprise Stress Testing
Category Winner
Credit Risk Category Winner



#1 Economic Capital Calculation
and Management, #1 Regulatory
Capital Calculation and
Management, and #1 Asset and
Liability Management



Best CLO Rating
Agency: 2016



Market Leadership Award,
Islamic Financial Intelligence &
Ratings: 2016
Best Islamic Finance Rating
Agency: 2015



#1 US Rating Agency:
2015-2016



Governance, Risk,
Compliance & Security
Category Winner



Ranked 22nd in the
Overall Top 100 Rankings



Best Credit Risk
Solution Provider -
RiskCalc™



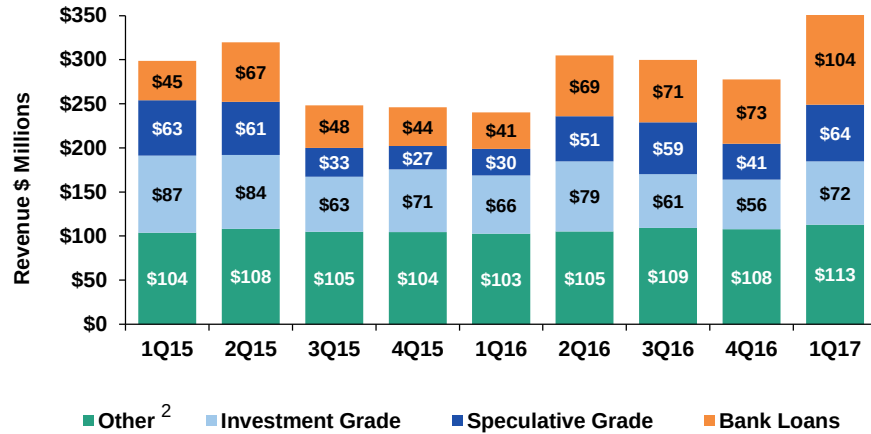
#1 Risk Management
Regulatory/Economic
Capital Calculation

6

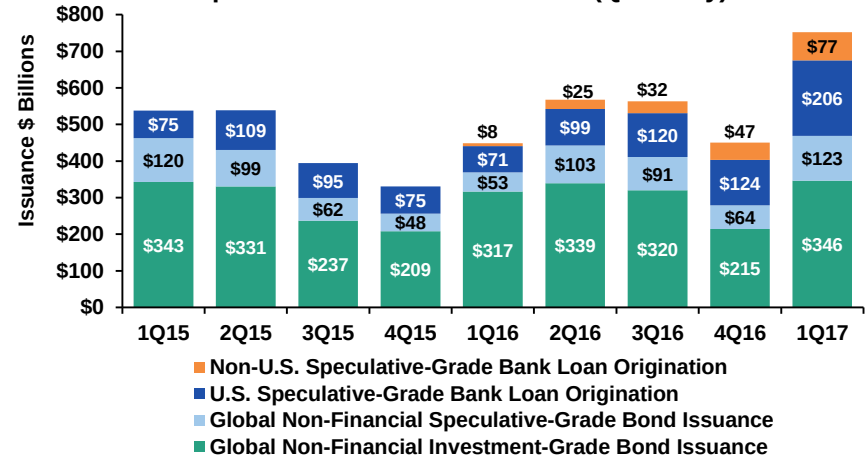
Appendix

Corporate Finance: Revenue and Issuance

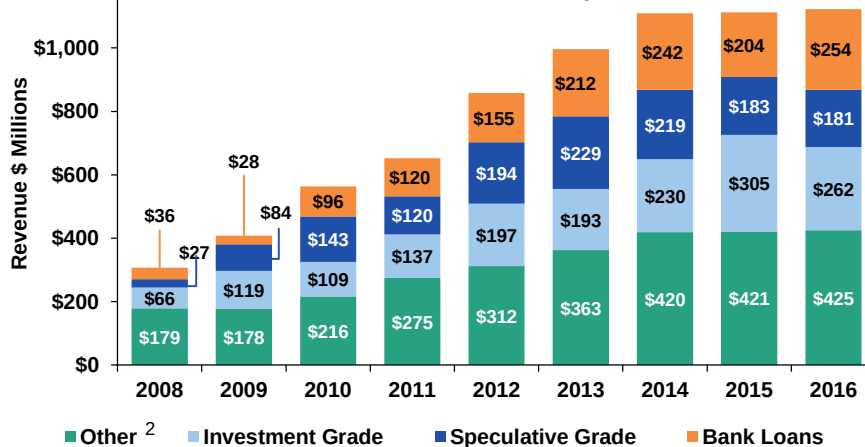
Historical Revenue¹ Mix: By Quarter



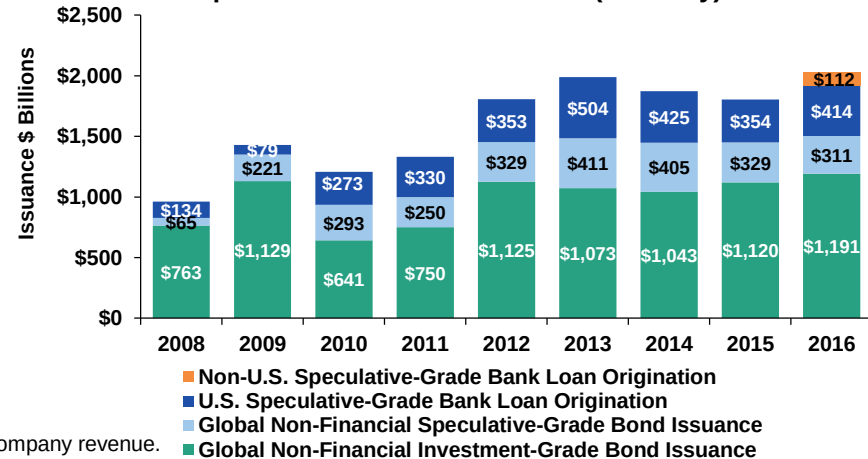
Global Rated Non-Financial Bonds and Speculative Grade Bank Loans (Quarterly)³



Historical Revenue¹ Mix: By Year



Global Rated Non-Financial Bonds and Speculative Grade Bank Loans (Annually)³



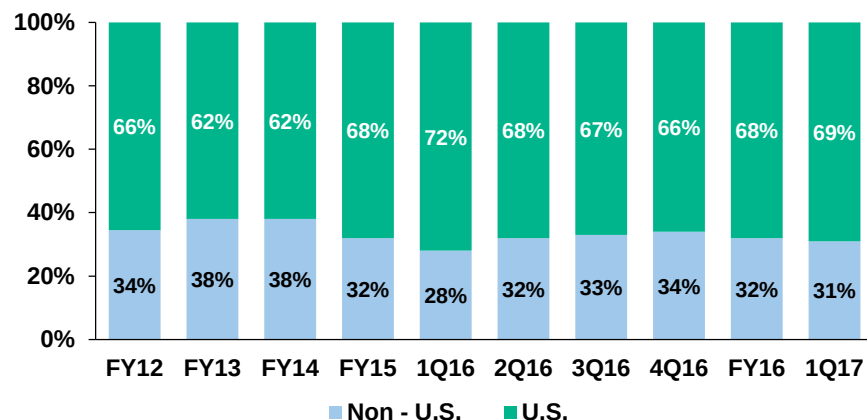
1 Historical data has been adjusted to conform with current information and excludes intercompany revenue.

2 Other includes: monitoring, commercial paper, medium term notes, and ICRA.

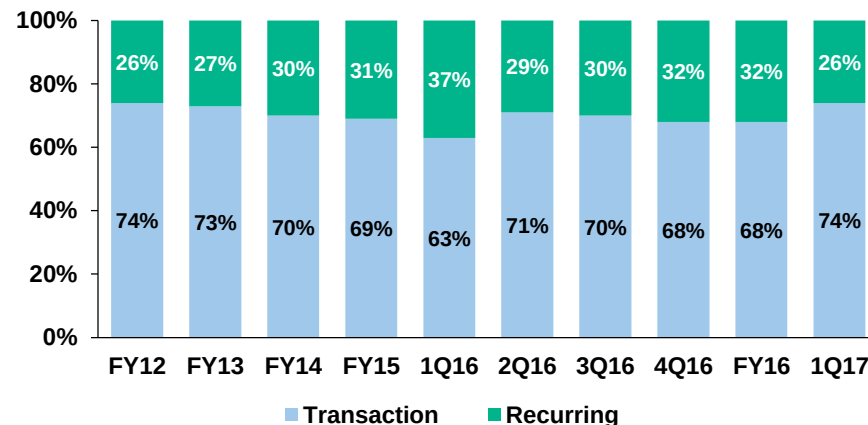
3 Sources: Moody's Capital Markets Research Group, Dealogic; U.S. and Non-U.S. Speculative-Grade Bank Loan Origination represent Moody's rated new bank loan programs. Non-U.S. Speculative-Grade Bank Loan Origination data available starting 2016. Note: Debt issuance categories do not directly correspond to Moody's revenue categorization.

Corporate Finance: Revenue Diversification

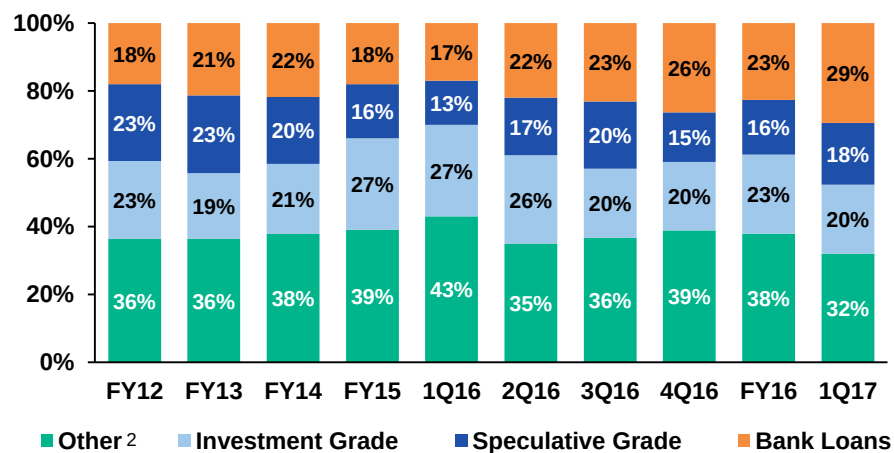
Revenue¹ Distribution: Geography



Revenue¹ Distribution: Recurring vs. Transaction



Revenue¹ Distribution: Product



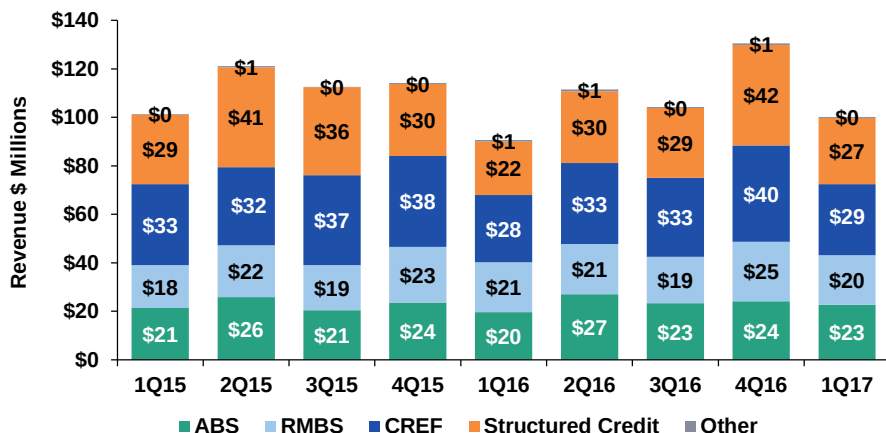
1 Historical data has been adjusted to conform with current information and excludes intercompany revenue.

2 Other includes: monitoring, commercial paper, medium term notes, and ICRA.

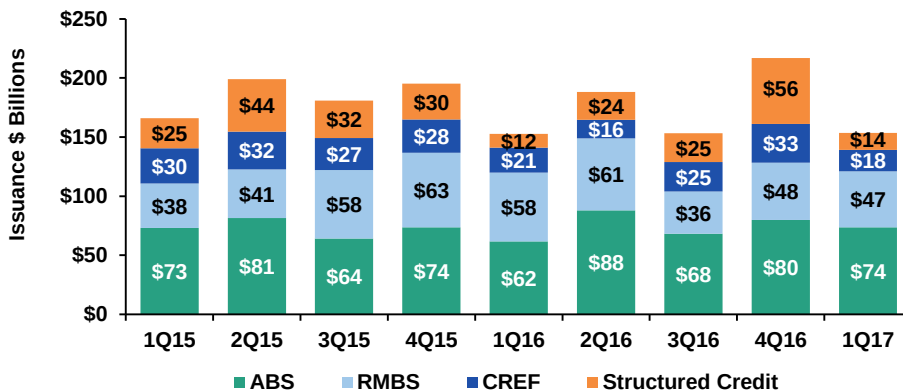
Percentages have been rounded and may not total to 100%.

Structured Finance: Revenue and Issuance

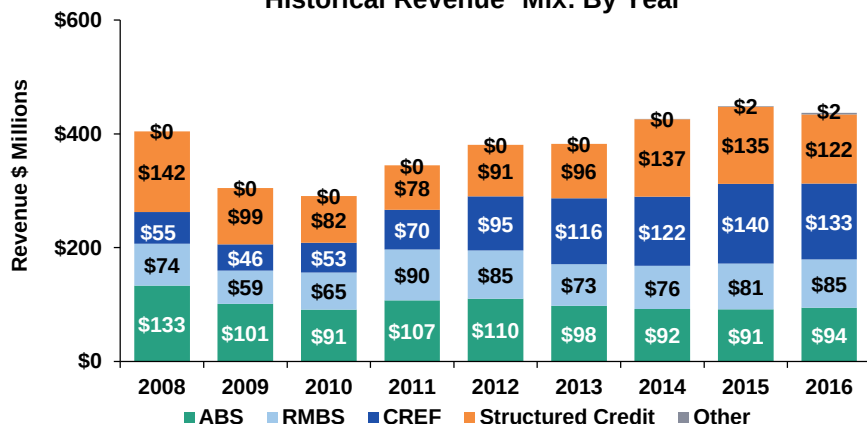
Historical Revenue¹ Mix: By Quarter



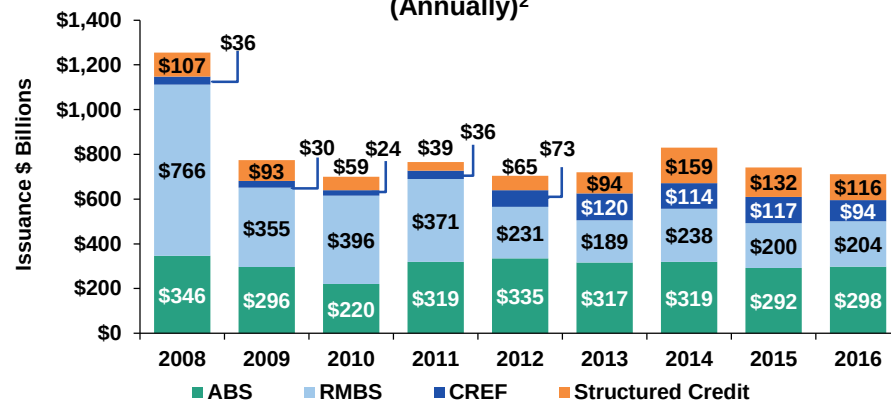
Global Rated Structured Finance (Quarterly)²



Historical Revenue¹ Mix: By Year



Global Rated Structured Finance (Annually)²



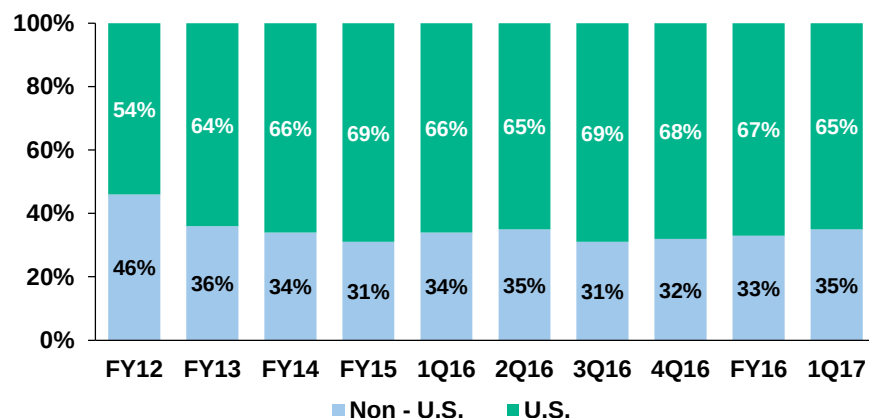
1 Historical data has been adjusted to conform with current information and excludes intercompany revenue.

2 Sources: AB Alert, CM Alert, Moody's Corporation. Debt issuance categories do not directly correspond to Moody's revenue categorization.

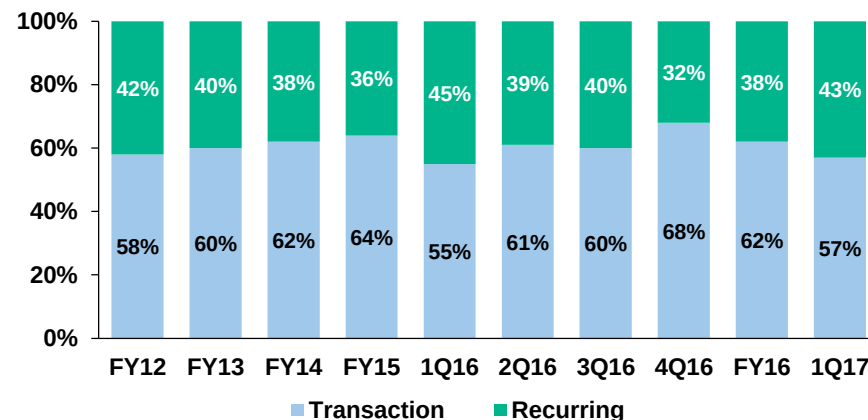
Notes: ABS (Asset Backed Securitization) includes asset-backed commercial paper and long-term asset-backed securities. RMBS (Residential Mortgage Backed Securitization) includes covered bonds. CREF (Commercial Real Estate Finance) includes commercial mortgage-backed securities, real estate finance, commercial real estate CDOs, and real estate investment trusts (REITs). Structured Credit includes CLOs and CDOs.

Structured Finance: Revenue Diversification

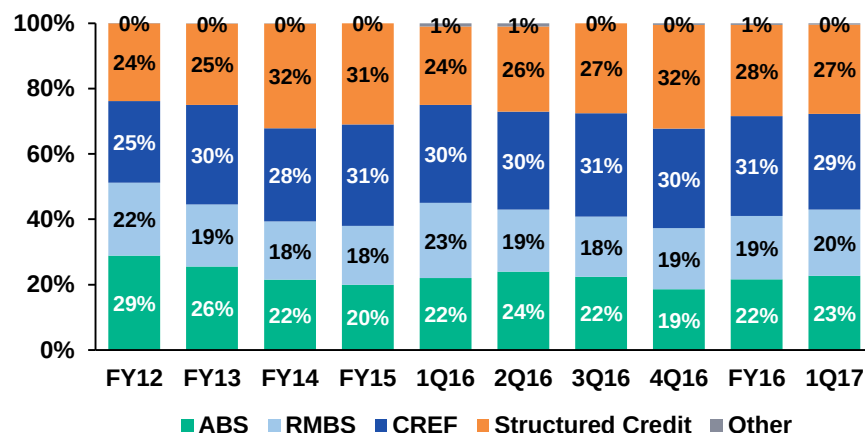
Revenue¹ Distribution: Geography



Revenue¹ Distribution: Recurring vs. Transaction



Revenue¹ Distribution: by Product



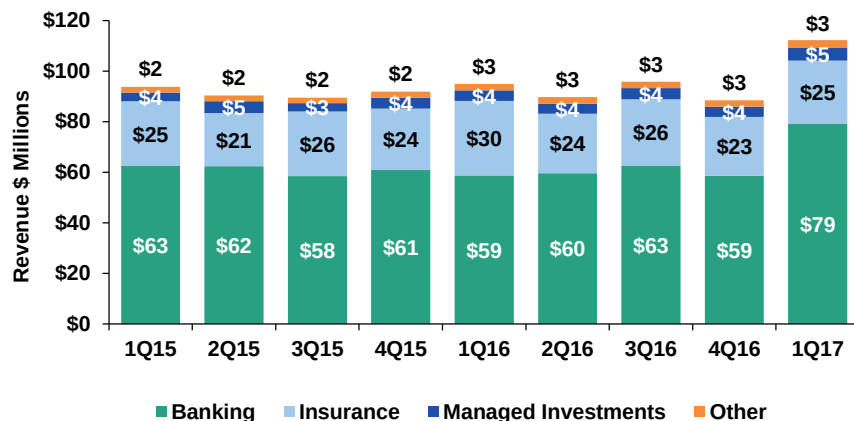
1 Historical data has been adjusted to conform with current information and excludes intercompany revenue.

Percentages have been rounded and may not total to 100%.

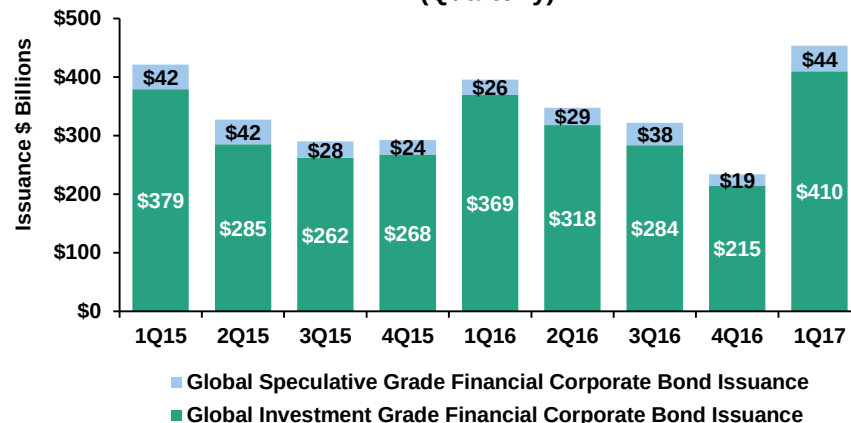
Notes: ABS (Asset Backed Securitization) includes asset-backed commercial paper and long-term asset-backed securities. RMBS (Residential Mortgage Backed Securitization) includes covered bonds. CREF (Commercial Real Estate Finance) includes commercial mortgage-backed securities, real estate finance, commercial real estate CDOs, and real estate investment trusts (REITs). Structured Credit includes CLOs and CDOs.

Financial Institutions: Revenue and Issuance

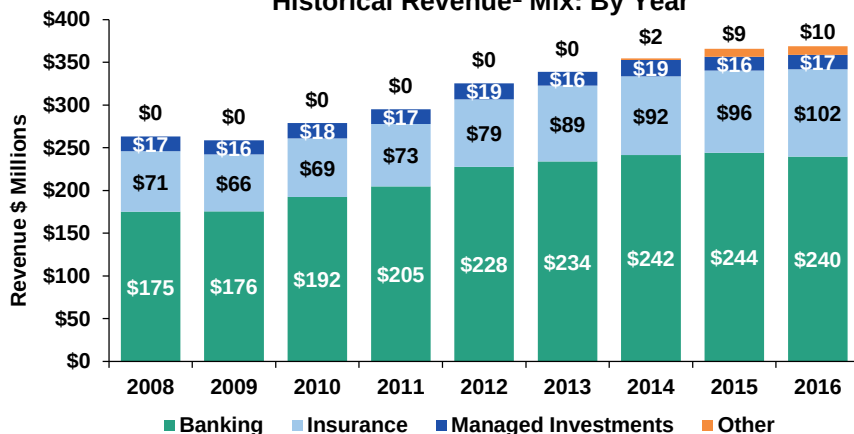
Historical Revenue¹ Mix: By Quarter



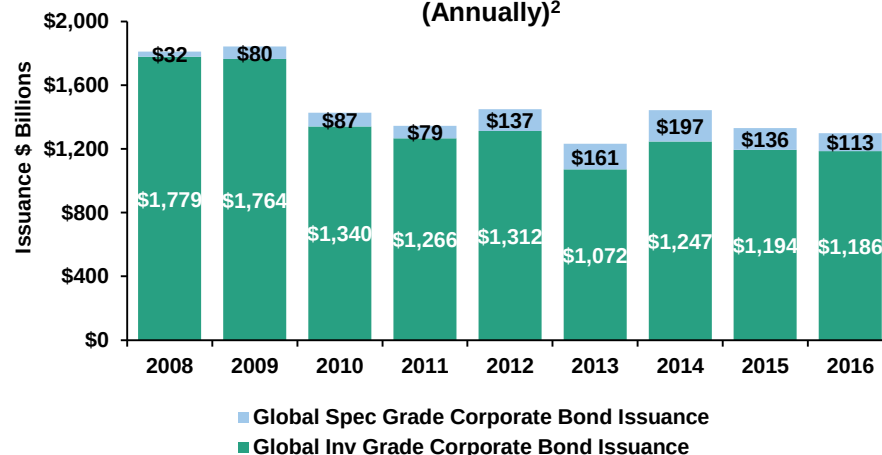
Global Rated Financial Bonds (Quarterly)²



Historical Revenue¹ Mix: By Year



Global Rated Financial Bonds (Annually)²

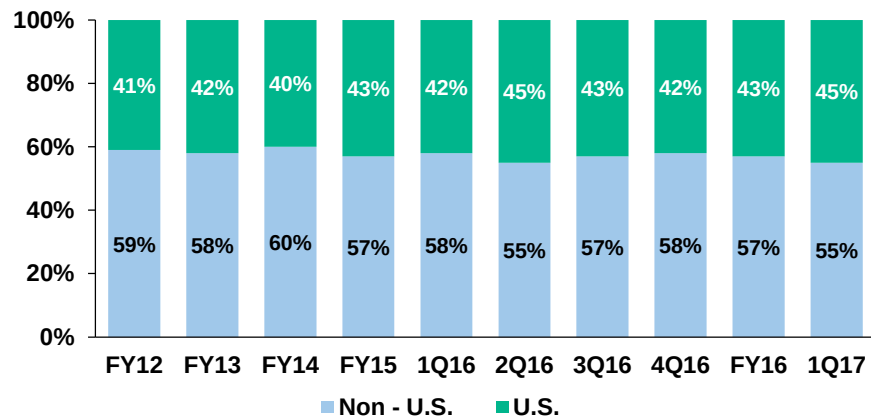


1 Historical data has been adjusted to conform with current information and excludes intercompany revenue.

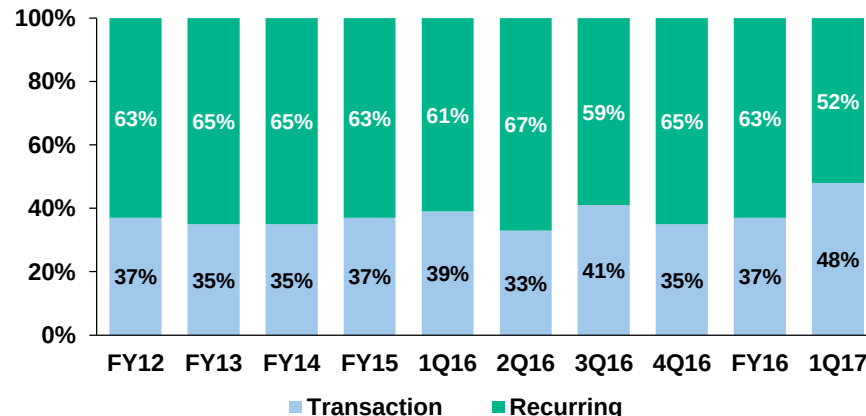
2 Sources: Moody's Capital Markets Research Group, Dealogic. Note: Debt issuance categories do not directly correspond to Moody's revenue categorization.

Financial Institutions: Revenue Diversification

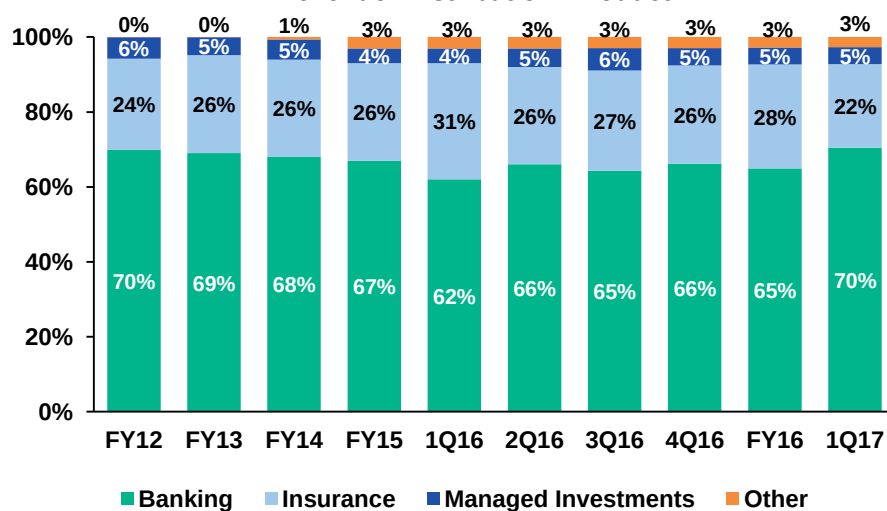
Revenue¹ Distribution: Geography



Revenue¹ Distribution: Recurring vs. Transaction

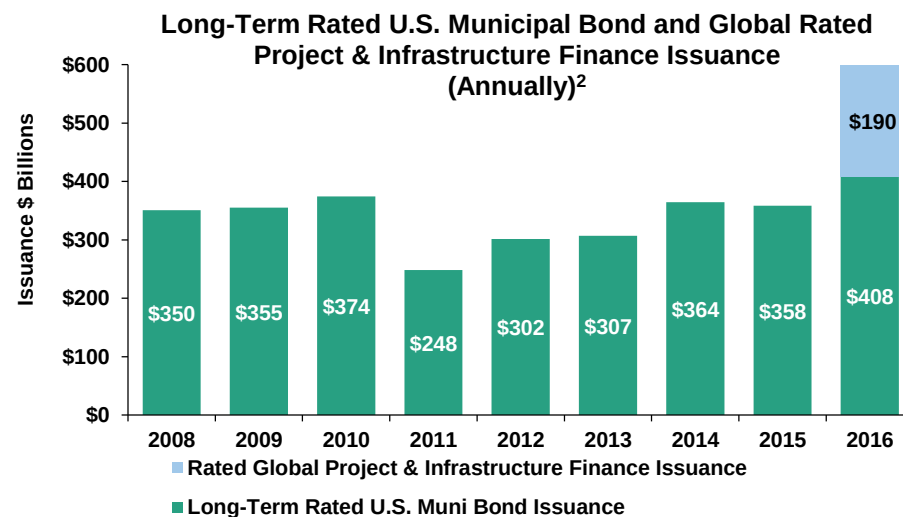
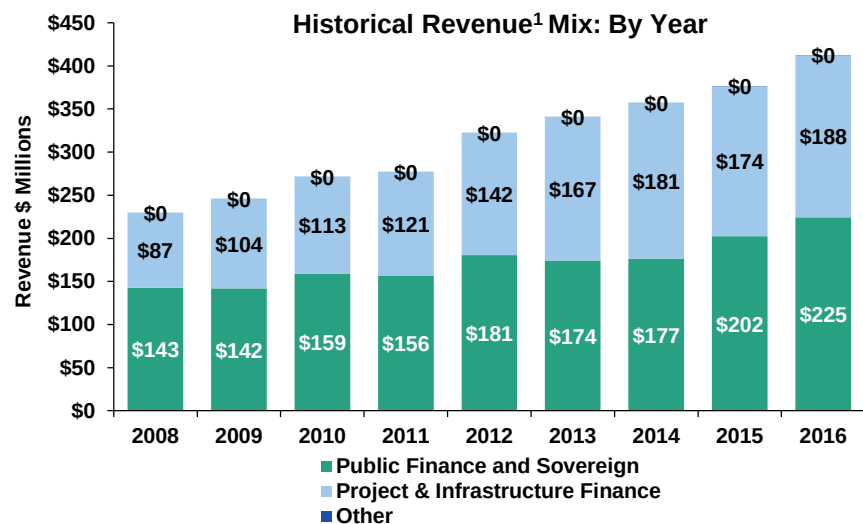
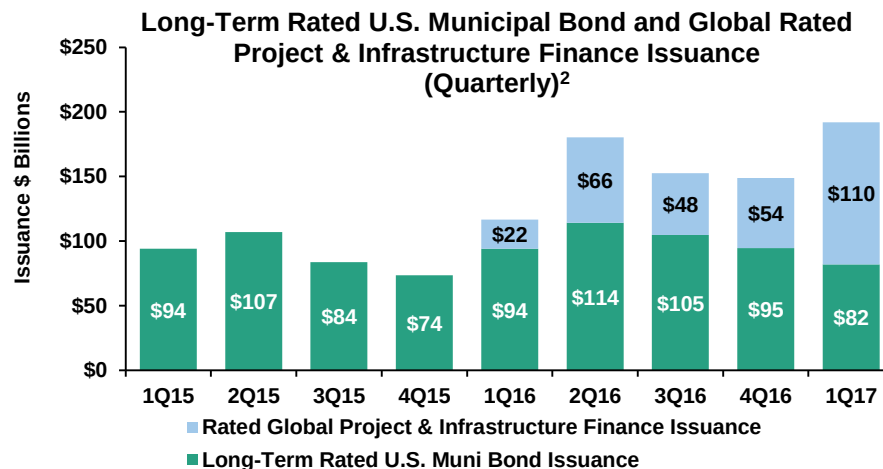
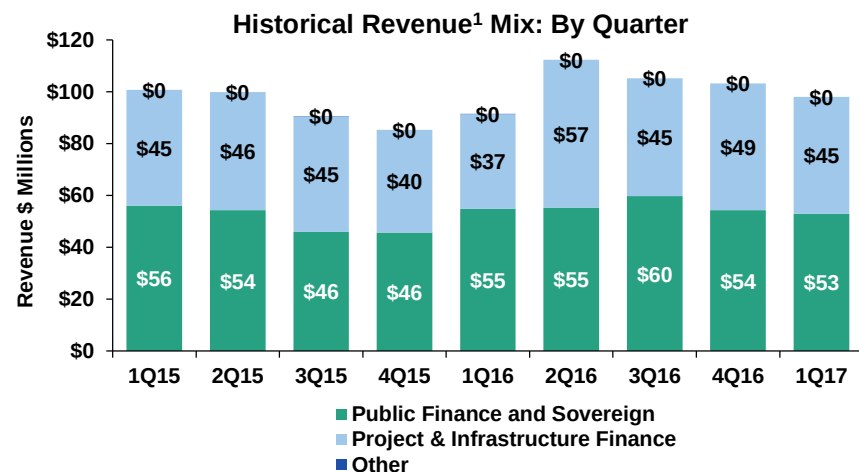


Revenue¹ Distribution: Product



¹ Historical data has been adjusted to conform with current information and excludes intercompany revenue. Percentages have been rounded and may not total to 100%.

Public, Project and Infrastructure: Revenue and Issuance



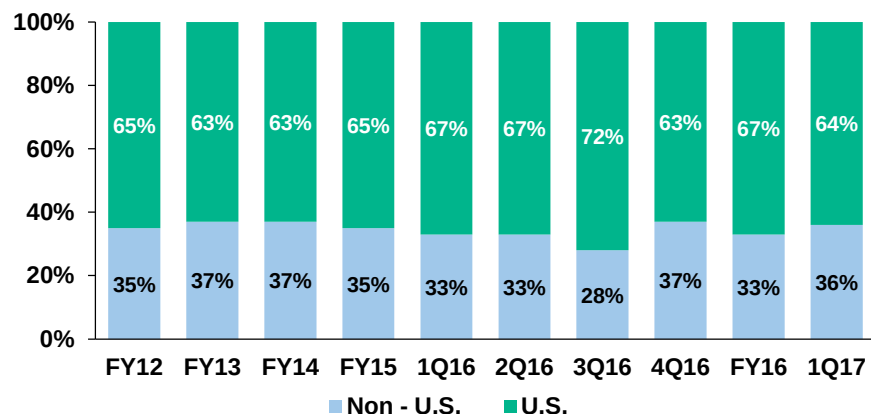
1 Historical data has been adjusted to conform with current information and excludes intercompany revenue.

2 Global Rated Project & Infrastructure Finance available starting in 2016 and represents Moody's rated issuance.

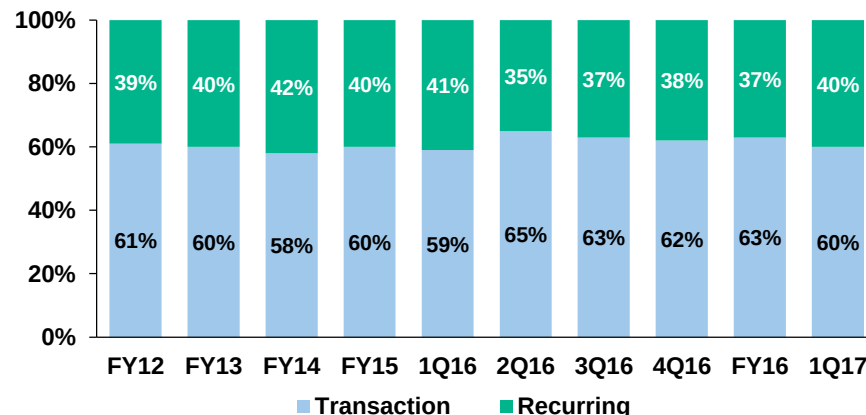
Sources: Thomson SDC, Moody's Corporation. Note: Debt issuance categories do not directly correspond to Moody's revenue categorization.

Public, Project and Infrastructure: Revenue Diversification

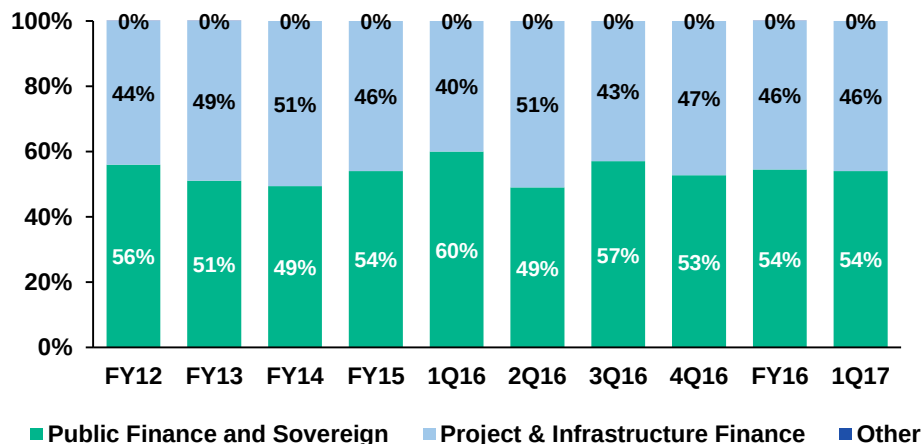
Revenue¹ Distribution: Geography



Revenue¹ Distribution: Recurring vs. Transaction

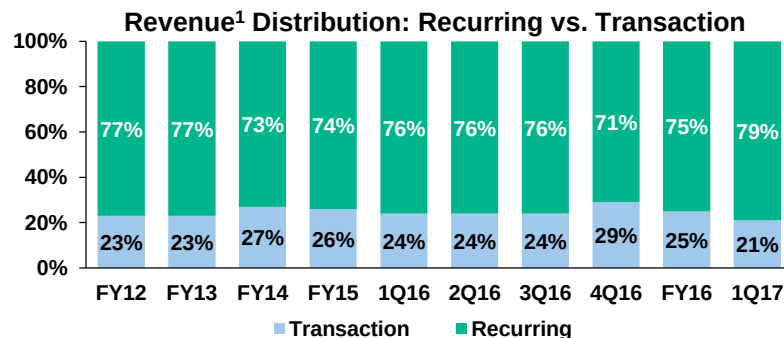
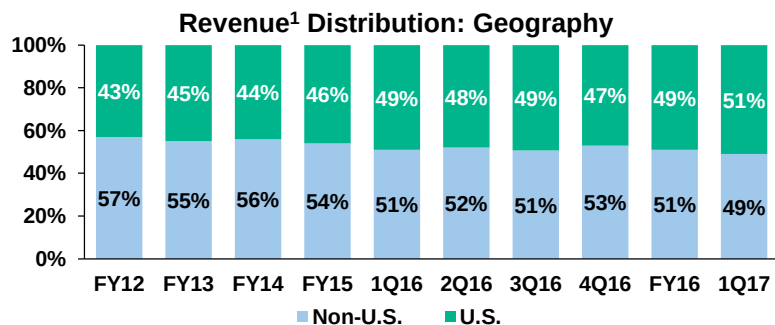
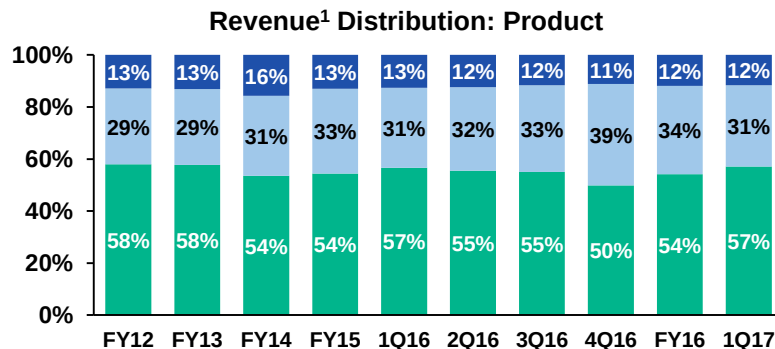
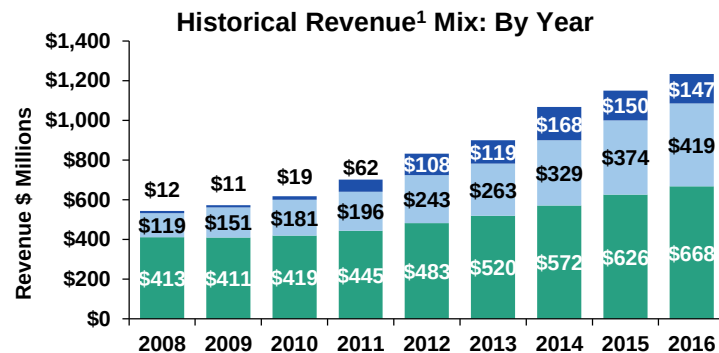
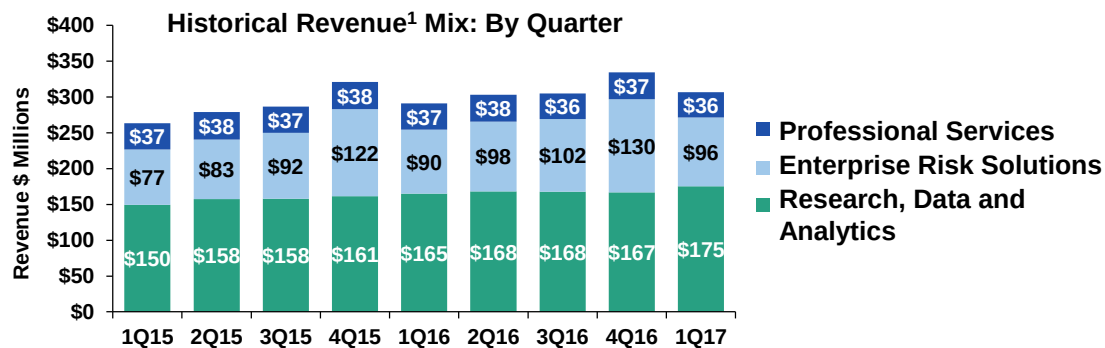


Revenue¹ Distribution: Product



1. Historical data has been adjusted to conform with current information and excludes intercompany revenue. Percentages have been rounded and may not total to 100%.

Moody's Analytics: Financial Overview



1. Historical data has been adjusted to conform with current information and excludes intercompany revenue. Percentages have been rounded and may not total to 100%.

Moody's Corporate Speculative Grade Credit Cycle Gauge

	North America				Europe			
	Latest Metric	1-Year Ago	Long-Term Average ¹	Record Worst	Latest Metric	1-Year Ago	Long-Term Average ²	Record Worst
Liquidity Stress Index	5.3%	10.3%	6.8%	20.8%	9.9%	11.0%	12.4%	18.5%
B3-Neg / Lower	243	291	193	291	57	53	39	60
% B3-Neg / Lower	17%	20%	15%	26%	13.3%	12.2%	11.9%	17.2%
3-Year Refunding Index	3.8x	3.7x	6.4x	1.5x	N/A	N/A	N/A	N/A
Downgrade / Upgrade Ratio ³	1.2x	3.1x	2.4x	11.7x	0.9x	1.7x	2.6x	20.5x
Covenant Quality Score	4.12	4.24	4.02	4.52	3.61	3.36	3.21	4.85
Default Rate (forecast)	3.0%	4.7%	4.7%	15.0%	1.8%	2.5%	3.8%	13.0%

Improving

Neutral

Trending Worse

1 North America long-term average: LSI: from 2002, B3-Neg: from 2007, Refunding: from 2007, Downgrade / Update Ratio: from 2008, CQ score: from 2011, Default rate: from 1990.

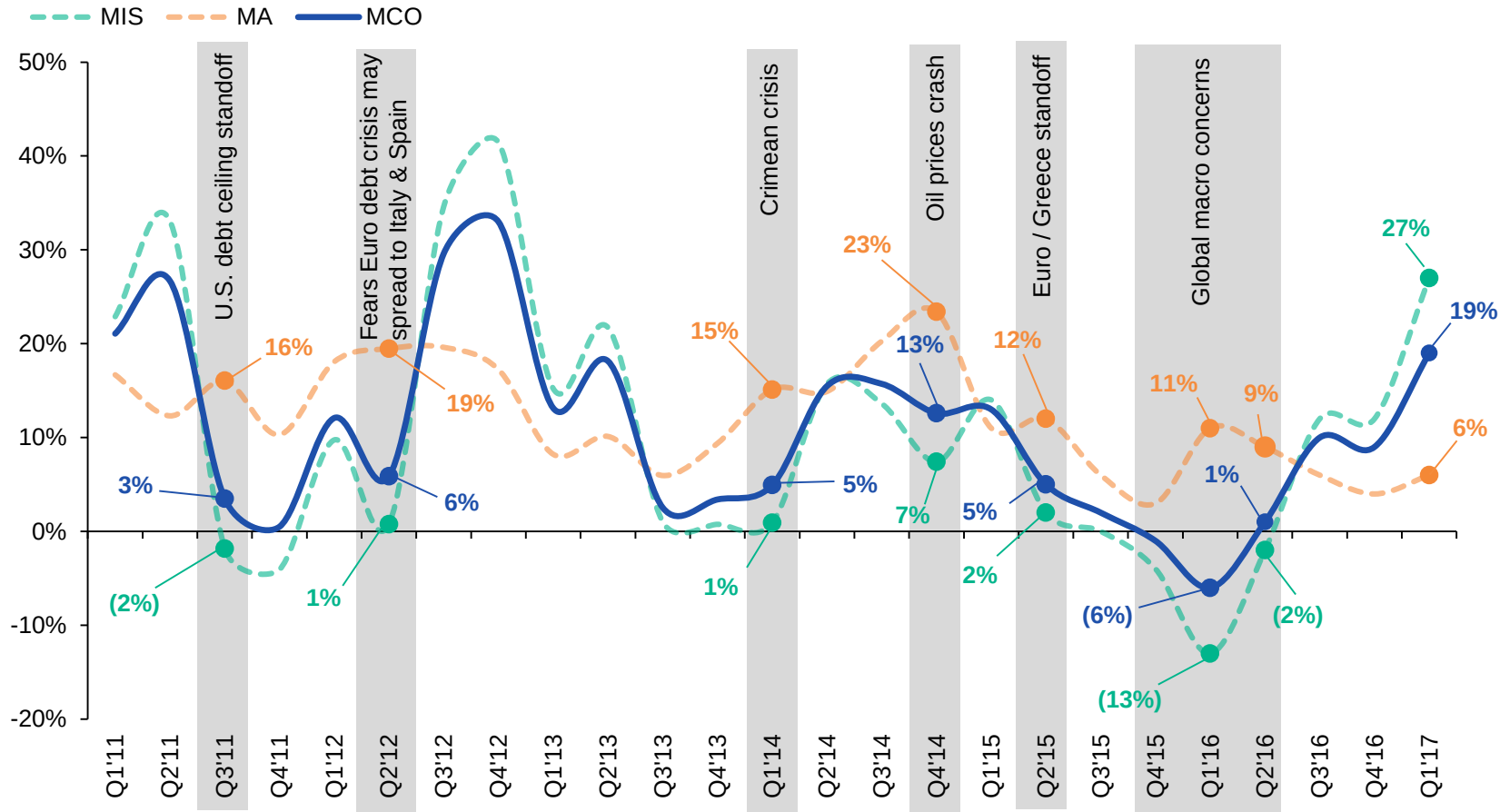
2 Europe long-term average: LSI: from 2012, CQ Score: from 2011, B3-Neg: from 2010, Downgrade / Update Ratio: from 2009, Default rate: from 1999.

3 Trailing twelve months as of March 31, 2017.

Source: Moody's Investors Service.

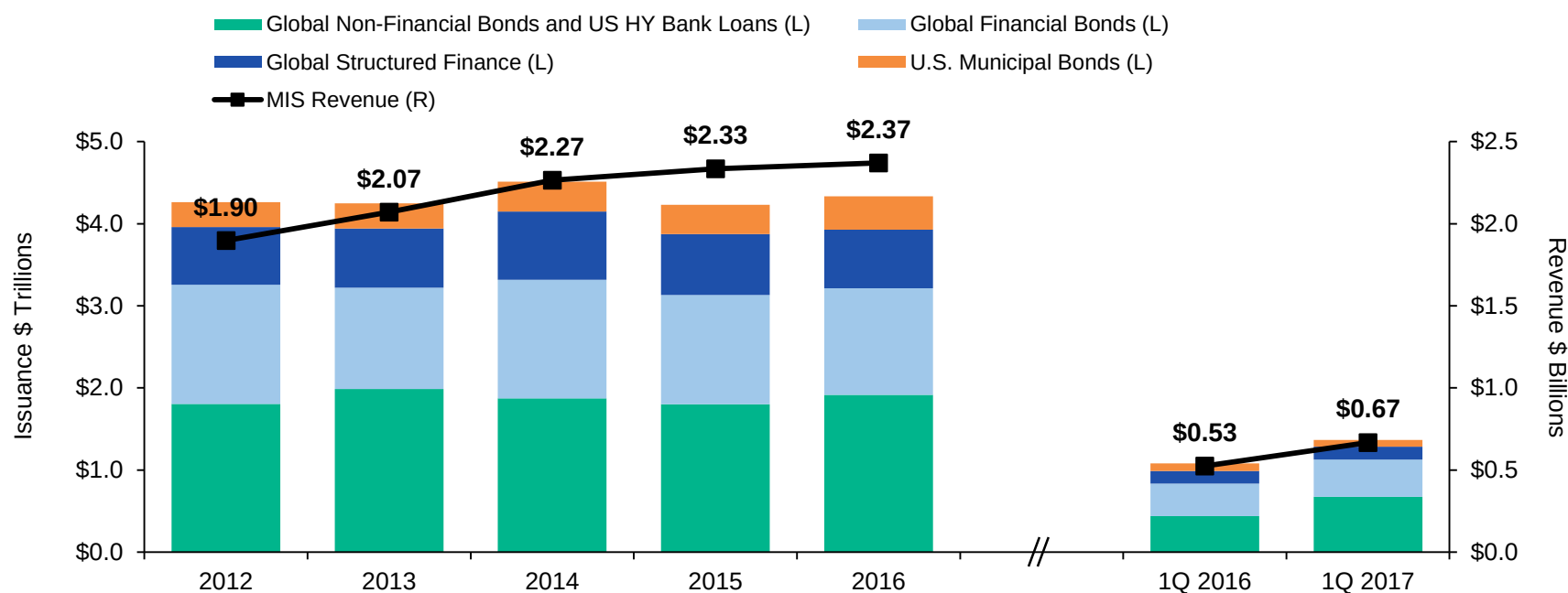
Revenue Growth by Quarter: MCO, MIS and MA

Year-over-Year % Change



MIS Revenue vs. Rated Issuance¹

Year-over-Year Percent Change	2012	2013	2014	2015	2016	2012-2016 CAGR	1Q 2017
Issuance	16%	0%	6%	-6%	2%	3%	26%
Revenue	20%	9%	9%	3%	2%	6%	27%

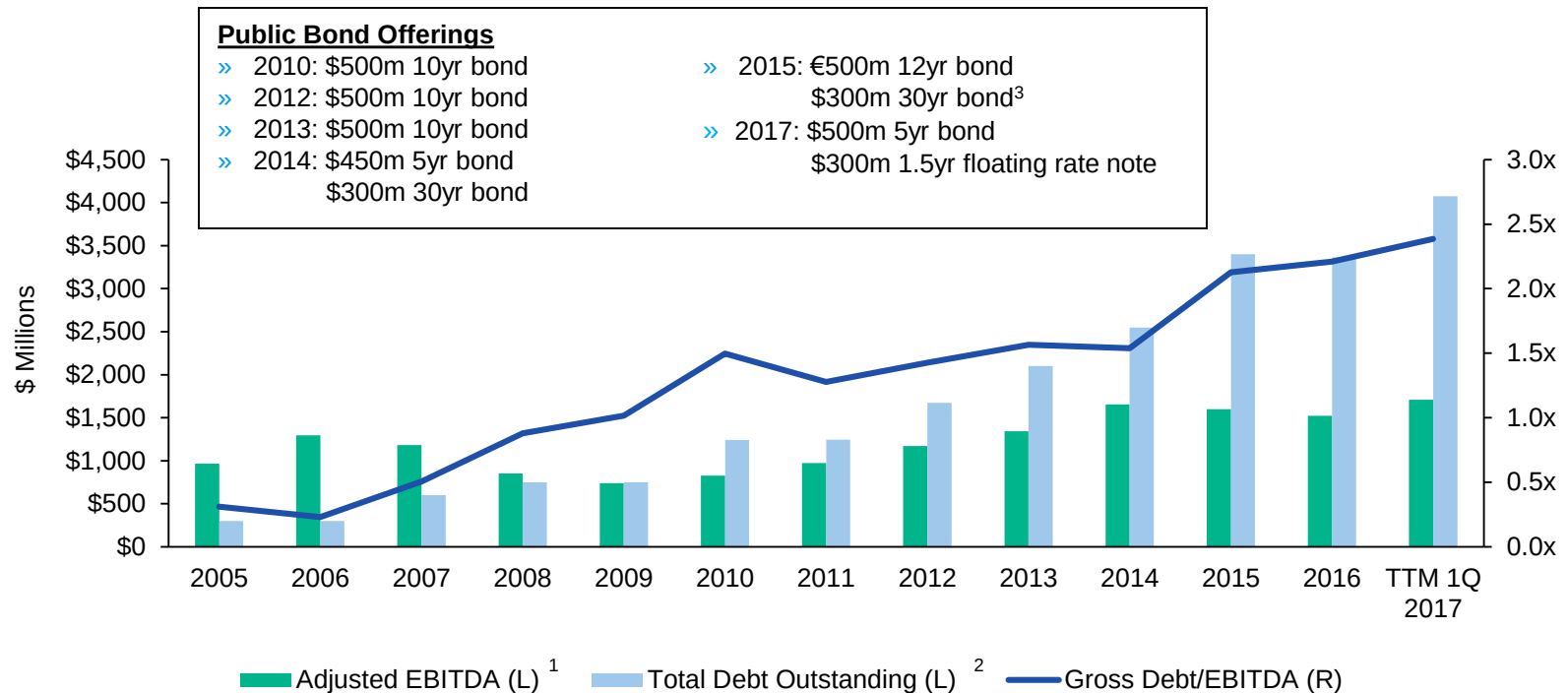


» In addition to issuance activity levels, MIS revenue is impacted by (i) the mix of issuance activity, (ii) pricing and (iii) growth in monitored credits

¹ Rated global investment grade bonds, global high yield bonds, U.S. high yield bank loans, global structured finance, and U.S. municipal issuance.

Source: Moody's Capital Markets Research Group, Dealogic, AB Alert, CM Alert, Thomson SDC. U.S. High Yield Bank Loans represent Moody's rated new U.S. bank loan programs.

Moody's is a Seasoned Capital Markets Issuer



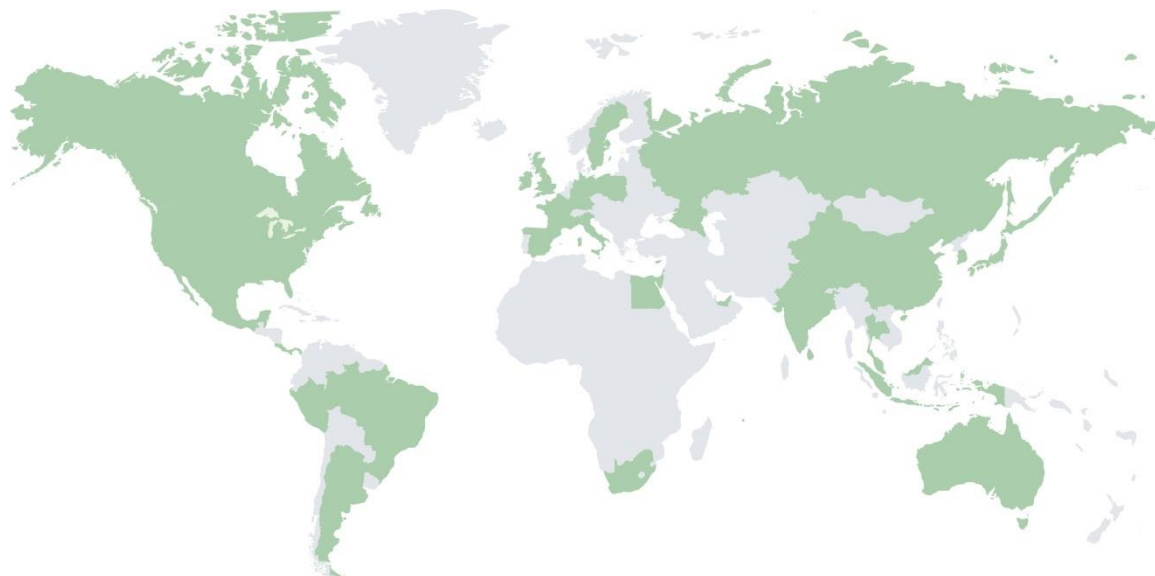
- » Successfully issued across the maturity curve and in multiple currencies (USD and EUR) and formats (fixed and floating)
- » Initial maturities ranging from 18-month to 30-year

¹ Amount is an adjusted measure. See Appendix for a reconciliation of this adjusted financial measure to its comparable GAAP measure.

² Debt outstanding at end of period.

³ On November 13, 2015, Moody's issued \$300 million of 5.25% senior unsecured notes due 2044 in a reopening of its existing series of such notes.

Moody's Global Presence



Americas

Argentina	Mexico
Brazil	Panama
Canada	Peru
Costa Rica	United States

Europe, Middle East & Africa

Cyprus	Poland
Czech Republic	Russia
Egypt	South Africa
France	Spain
Germany	Sweden
Ireland	Switzerland
Israel	UAE
Italy	United Kingdom
Mauritius	

Asia-Pacific

Australia	Malaysia
China	Nepal
Hong Kong	Singapore
India	Sri Lanka
Japan	Thailand
Korea	

2017	3,411 U.S. employees	+	7,247 non-U.S. employees	=	10,658 total employees ¹
2016	3,441 U.S. employees	+	7,311 non-U.S. employees	=	10,752 total employees ²

¹ As of March 31, 2017.

² As of March 31, 2016.

Reconciliation of Adjusted Financial Measures to GAAP

Adjusted Operating Income and Adjusted Operating Margin Reconciliation

(in \$ millions)	2012	2013	2014	2015	2016	TTM 1Q 2017
As Reported Operating Income	\$1,077.4	\$1,234.6	\$1,439.1	\$1,473.4	\$638.7	\$778.0
Operating Margin	39.5%	41.5%	43.2%	42.3%	17.7%	20.7%
Add Adjustment:						
Depreciation & Amortization	93.5	93.4	95.6	113.5	126.7	129.3
Restructuring	-	-	-	-	12.0	8.7
Goodwill Impairment Charge	12.2	-	-	-	-	-
Settlement Charge	-	-	-	-	863.8	863.8
Adjusted Operating Income	<u>\$1,183.1</u>	<u>\$1,328.0</u>	<u>\$1,534.7</u>	<u>\$1,586.9</u>	<u>\$1,641.2</u>	<u>\$1,779.8</u>
Adjusted Operating Margin	<u>43.3%</u>	<u>44.7%</u>	<u>46.0%</u>	<u>45.5%</u>	<u>45.5%</u>	<u>47.3%</u>

Moody's Corporation Operating Margin Guidance Reconciliation

	2017F ¹
Projected Operating Margin - GAAP	Approximately 43%
Projected impact from Depreciation & Amortization	Approximately 3%
Projected Adjusted Operating Margin	<u>Approximately 46%</u>

Moody's Corporation Free Cash Flow Guidance Reconciliation

(in \$ millions)	2017F ¹
Cash Flow from Operations	Approximately \$600 million
Less Capital Expenditures	<u>Approximately \$100 million</u>
Free Cash Flow	<u>Approximately \$500 million</u>

¹ Guidance as of May 5, 2017.

Reconciliation of Adjusted Financial Measures to GAAP (cont.)

Moody's Corporation Adjusted Operating Expense Reconciliation

	2017F ¹
Operating Expense Guidance	Decreased in the 25% to 30% range
	Impact of 2016 settlement and restructuring charge
Adjusted Operating Expense Guidance	Increase in the mid-single-digit percent range

Moody's Corporation EPS Reconciliation

	2012	2013	2014	2015	2016	2017F ¹
Diluted EPS - GAAP	\$3.05	\$3.60	\$4.61	\$4.63	\$1.36	\$5.46 - \$5.61
Legacy Tax	(0.06)	(0.09)	(0.03)	(0.03)	-	-
Impact of Litigation Settlement	-	0.14	-	-	\$3.59	-
ICRA Gain	-	-	(0.37)	-	-	-
FX Gain due to Subsidiary Liquidation					(\$0.18)	-
Restructuring					\$0.04	-
CCXI Gain	-	-	-	-	-	(\$0.31)
Adjusted Diluted EPS	\$2.99	\$3.65	\$4.21	\$4.60	\$4.81	\$5.15 - \$5.30

¹ Guidance as of May 5, 2017.

Note: Table may not sum to total due to rounding.

Reconciliation of Adjusted Financial Measures to GAAP (cont.)

Moody's Corporation EBITDA Reconciliation

(\$ Millions)	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	TTM 1Q 2017 ²
Net Income attributable to Moody's	\$753.9	\$701.5	\$457.6	\$402.0	\$507.8	\$571.4	\$690.0	\$804.5	\$988.7	\$941.3	\$266.6	\$427.8
Provision for Income Taxes	\$506.6	\$415.0	\$268.2	\$239.1	\$201.0	\$261.8	\$324.3	\$353.4	\$455.0	\$430.0	\$282.2	\$298.6
Interest Expense, Net	(\$3.0)	\$24.3	\$52.2	\$33.4	\$52.5	\$62.1	\$63.8	\$91.8	\$116.8	\$115.1	\$137.8	\$146.1
Depreciation & Amortization	\$39.5	\$42.9	\$75.1	\$64.1	\$66.3	\$79.2	\$93.5	\$93.4	\$95.6	\$113.5	\$126.7	\$129.3
EBITDA	\$1,297.0	\$1,183.7	\$853.1	\$738.6	\$827.6	\$974.5	\$1,171.6	\$1,343.1	\$1,656.1	\$1,599.9	\$813.3	\$1,001.8
Net Settlement ¹	-	-	-	-	-	-	-	-	-	-	\$700.7	\$700.7
Net Restructuring ¹	-	-	-	-	-	-	-	-	-	-	\$8.1	\$5.9
Adjusted EBITDA	\$1,297.0	\$1,183.7	\$853.1	\$738.6	\$827.6	\$974.5	\$1,171.6	\$1,343.1	\$1,656.1	\$1,599.9	\$1,522.1	\$1,708.4

¹ Net of \$163.1m tax on settlement charge and \$3.9m and \$2.8m tax on restructuring charge for full-year 2016 and TTM 1Q 2017, respectively.

² Trailing twelve months as of March 31, 2017.

Note: Table may not sum to total due to rounding.

Website: <http://ir.moodys.com>

Email: ir@moodys.com



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